CENTRAL ELECTRICITY REGULATORY COMMISSION

NEW DELHI

Petition No. 477/TT/2025

Coram:

Shri Ramesh Babu V., Member
Shri Harish Dudani, Member

Date of Order: 12.03.2026

In the matter of:

Petition under Section 62 read with Section 79(1)(d) of the Electricity Act, 2003 and under the Regulation 15(1)(a) and Regulation 23 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023 for truing up of the transmission tariff for the 2019-24 period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 and the determination of the transmission tariff for the 2024-29 period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 for the assets under provision of STATCOM at Nalagarh and Lucknow in the Northern Region.

And in the matter of:

Power Grid Corporation of India Limited,
Registered Office: B-9, Qutab Institutional Area,
Katwaria Sarai, New Delhi-110016.
Corporate Centre: "Saudamini", Plot No. 2,
Sector-29, Gurgaon–122001 (Haryana). **…Petitioner**

Versus

1. **Uttar Pradesh Power Corporation Limited,**
   Shakti Bhawan, 14, Ashok Marg,
   Lucknow - 226001.

2. **Ajmer Vidyut Vitran Nigam Limited,**
   Corporate Office, Vidyut Bhawan,
   Panchsheel Nagar, Makarwali Road,
   Ajmer-305004 (Rajasthan).

3. **Jaipur Vidyut Vitran Nigam Limited,**
   132 kV GSS RVPNL Substation Building,
   Caligiri Road, Malviya Nagar,
   Jaipur-302017 (Rajasthan).

4. **Jodhpur Vidyut Vitran Nigam Limited,**
   New Power House, Industrial Area,
   Jodhpur – 342003 (Rajasthan).

5. **Himachal Pradesh State Electricity Board,**
Vidyut Bhawan, Kumar House Complex Building II,
Shimla-171004 (Himachal Pradesh).

6. **Punjab State Power Corporation Limited,**
The Mall, PSEB Head Office,
Patiala - 147001 (Punjab).

7. **Haryana Power Purchase Centre,**
Shakti Bhawan, Sector-6,
Panchkula-134109 (Haryana).

8. **Jammu Kashmir Power Corporation Limited,**
220/66/33 kV Gladni SS SLDC Building,
Narwal, Jammu.

9. **BSES Yamuna Power Limited,**
B-Block, Shakti Kiran Building,
(Near Karkadooma Court), 2nd Floor,
Karkardooma, New Delhi-110092.

10. **BSES Rajdhani Power Limited,**
BSES Bhawan, Nehru Place,
New Delhi.

11. **Tata Power Delhi Distribution Limited,**
33 kV Substation Building,
Hudson Lane, Kingsway Camp,
North Delhi – 110009.

12. **Chandigarh Electricity Department,**
Chandigarh Administration,
Sector -9, Chandigarh.

13. **Uttarakhand Power Corporation Limited,**
Urja Bhawan, Kanwali Road, Dehradun.

14. **North Central Railway,**
Allahabad.

15. **New Delhi Municipal Council,**
Palika Kendra, Sansad Marg,
New Delhi-110002.

…Respondents

For Petitioner	:	Shri Zafrul Hasan, PGCIL Shri Angaru Naresh Kumar, PGCIL Shri Arjun Malhotra, PGCIL Shri Mukesh Bhakar, PGCIL Shri Piyush Awvasthi, PGCIL Shri G. Vijay, PGCIL
For Respondents	:	None

ORDER

The instant Petition has been filed by the Petitioner, Power Grid Corporation of India Limited (PGCIL) for truing-up of the transmission tariff for the 2019-24 period in accordance with the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 (hereinafter referred to as "the 2019 Tariff Regulations"), and for the determination of the transmission tariff for the 2024-29 period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 (hereinafter referred to as "the 2024 Tariff Regulations"), for the following assets under "Provision of STATCOM at Nalagarh and Lucknow in the Northern Region" (hereinafter referred to as the "transmission project"):

Asset	Asset's Name
Asset-1	± 200 MVAr STATCOM at 400/220 kV Nalagarh Substation
Asset-2	± 300 MVAr STATCOM at 400 kV Lucknow Substation

In this order, Assets-1 and 2 are jointly called "the transmission assets" for the 2019-24 tariff period, and they are combined into a single asset referred to as "the Combined Assets" for the 2024-29 tariff period.

2. The Petitioner has made the following prayers in the instant Petition:

"a) Approve the trued-up Transmission Tariff for 2019-24 block and transmission tariff for 2024-29 block for the asset covered under this petition, as per para 16 and 17 above.

b) Admit the capital cost claimed and additional capitalization incurred during 2019-24 and projected additional capitalization to be incurred during 2024-29.

c) Allow the petitioner to recover the shortfall or refund the excess Annual Fixed Charges, on account of Return on Equity due to change in applicable Minimum Alternate/Corporate Income Tax rate as per the Income Tax Act, 1961 (as amended from time to time) of the respective financial year directly without making any application before the Commission as provided in Tariff Regulations, 2019 and Tariff Regulations, 2024 as per para 16 and 17 above for respective block.

d) Approve the reimbursement of expenditure by the beneficiaries towards petition filing fee, and expenditure on publishing of notices in newspapers in terms of Regulation 94 (1) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024, and other expenditure (if any) in relation to the filing of petition.

e) Allow the petitioner to bill and recover RLDC fees & charges and Licensee fee, separately from the respondents in terms of Regulation 94 (3) and (4) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024.

f) Allow the petitioner to bill and adjust impact on Interest on Loan due to change in Interest rate on account of floating rate of interest applicable during 2024-29 period, if any, from the respondents.

g) Allow the petitioner to file a separate petition before Hon'ble Commission for claiming the overall security expenses and consequential IOWC on that security expenses as mentioned at para 23 above.

h) Allow the petitioner to file a separate petition before Hon'ble Commission for claiming the overall insurance expenses and consequential IOWC on that insurance expenses as mentioned at para 23 above.

i) Allow the petitioner to file a separate petition before Hon'ble Commission for claiming the overall capital spares at the end of tariff block as per actual as mentioned at Para 23 above.

j) Allow the petitioner to claim expenses of CTUIL borne by POWERGRID through a separate petition as mentioned at para 24 above.

k) Allow the Petitioner to bill and recover GST on Transmission Charges separately from the respondents, if GST on transmission is levied at any rate in future. Further, any taxes including GST and duties including cess etc. imposed by any statutory/Govt./municipal authorities shall be allowed to be recovered from the beneficiaries and

l) Pass such other relief as Hon'ble Commission deems fit and appropriate under the circumstances of the case and in the interest of justice."

Background

3. The brief facts of the case are as follows:

(a) The scope of the transmission project was discussed and agreed upon in the 32nd Standing Committee meeting of the Northern Region held on 31.8.2013. Further, the transmission project was discussed and ratified in the 29th NRPC meeting held on 13.9.2013.

(b) The Investment Approval (IA) for the transmission project was accorded by the Board of Directors of the Petitioner at its 332nd meeting held on 19.8.2016 and communicated vide Memorandum dated 29.8.2016, with an estimated cost of ₹43189 lakh, including an Interest During Construction (IDC) of ₹2623 lakh based on April 2016 price levels.

(c) The scope of the transmission project is as follows:

Substation	**Mechanically switched Compensation**		**Dynamic Compensation (STATCOM)**
	Reactor x125 MVAr	**Capacitor x125 MVAr**	**MVAr**
Nalagarh	2	2	+/- 200
Lucknow	2	1	+/- 300

(d) The details of the transmission assets included in the transmission project are as follows:

Asset	**Asset Name**	**COD**	**Remarks**
Asset-1	± 200 MVAr STATCOM at 400/220 kV Nalagarh Substation	31.3.2019	Earlier covered under Petition No. 86/TT/2023 and now covered under the instant Petition
Asset-2	± 300 MVAr STATCOM at 400 kV Lucknow Substation	25.12.2020	Earlier covered under Petition No. 274/TT/2022 and now covered under the instant Petition

(e) The entire scope of work under the transmission project has been completed and covered in this Petition.

(f) The Commission, vide order dated 25.1.2021 in Petition No. 85/TT/2019, approved the transmission tariff from the Date of Commercial Operation (COD) to 31.3.2019 in respect of Asset-1. Subsequently, the Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023, trued up the Annual

Fixed Charges (AFC) for the 2014-19 tariff period and determined the AFC for the 2019-24 tariff period in respect of Asset -1.

(g) The Commission, vide order dated 22.11.2023 in Petition No. 274/TT/2022, approved the Annual Fixed Charges (AFC) from the COD to 31.3.2024 in respect of Asset-2.

(h) The Petitioner has filed the instant Petition for the truing up of the AFC for the 2019-24 tariff period in respect of the transmission assets and determination of the AFC for the 2024-29 tariff period in respect of the Combined Assets.

4. The Respondents are the Distribution Licensees, Power Departments, and Transmission Licensees, mainly the beneficiaries of the Northern Region, that are procuring transmission services from the Petitioner.

5. The Petitioner has served a copy of the Petition on the Respondents, and notices regarding the filing of this Petition have also been published in the newspapers in accordance with Section 64 of the Electricity Act, 2003 ("the Act"). However, no comments or suggestions have been received from the general public in response to the aforesaid notices published in the newspapers. None of the Respondents has filed their reply to the instant Petition.

6. The hearings in this matter were held on 30.9.2025 and 11.12.2025, and the order was reserved on 11.12.2025. This order is being issued considering the submissions of the Petitioner vide affidavits dated 25.11.2024, 18.8.2025, 28.11.2025 and 24.12.2025.

7. Having heard the representatives of the Petitioner and perused the material available on record, we proceed to dispose of the Petition.

TRUING-UP OF THE ANNUAL FIXED CHARGES FOR THE 2019-24 TARIFF PERIOD

8. The details of the transmission charges approved by the Commission through order dated 2.8.2024 in Petition No. 86/TT/2023 and through order dated 22.11.2023 in Petition No. 274/TT/2022 for Assets-1 and 2, respectively, for the 2019-24 tariff period are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	761.21	826.67	851.98	880.41	890.20
Interest on Loan	791.68	791.35	747.23	706.37	644.95
Return on Equity	805.14	875.94	903.69	934.65	945.50
O&M Expenses	235.48	243.74	252.30	261.15	270.32
Interest on Working Capital	45.72	44.99	42.40	42.98	48.88
Total	**2639.23**	**2782.69**	**2797.60**	**2825.56**	**2799.85**

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Depreciation	278.93	1107.12	1181.09	1205.75
Interest on Loan	231.18	872.65	859.85	801.82
Return on Equity	280.76	1115.96	1192.44	1217.93
O&M Expenses	75.30	293.27	303.57	314.22
Interest on Working Capital	14.19	51.73	53.92	54.09
Total	**880.36**	**3440.73**	**3590.87**	**3593.81**

9. The details of the Interest on Working Capital (IWC) approved by the Commission through order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022, for Assets-1 and 2 respectively, for the 2019-24 tariff period, are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	19.62	20.31	21.02	21.76	22.53
Maintenance Spares	35.32	36.56	37.84	39.17	40.55
Receivables	324.50	343.07	344.91	348.36	344.24
Total Working Capital	**379.44**	**399.95**	**403.78**	**409.29**	**407.32**
Rate of Interest (in %)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**45.72**	**44.99**	**42.40**	**42.98**	**48.88**

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
O&M Expenses	23.61	24.44	25.30	26.19
Maintenance Spares	42.50	43.99	45.54	47.13
Receivables	408.41	424.20	442.71	441.86
Total Working Capital	**474.52**	**492.63**	**513.54**	**515.18**
Rate of Interest (in %)	11.25	10.50	10.50	10.50
Interest on Working Capital	**14.19**	**51.73**	**53.92**	**54.09**

10. The Petitioner has claimed the following trued-up transmission charges in respect of the transmission assets for the 2019-24 tariff period:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	761.11	826.46	851.82	871.12	875.50
Interest on Loan	766.09	682.28	628.86	630.36	623.70
Return on Equity	805.03	875.72	903.46	924.42	929.41
O&M Expenses	250.59	259.39	268.49	277.91	287.67
Interest on Working Capital	45.99	44.09	41.45	42.36	48.85
Total	**2628.81**	**2687.94**	**2694.07**	**2746.18**	**2765.13**

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Depreciation	299.62	1147.11	1164.44	1166.29
Interest on Loan	248.29	904.51	913.80	917.50
Return on Equity	301.53	1155.40	1173.83	1175.80
O&M Expenses	91.50	356.41	368.92	381.86
Interest on Working Capital	15.67	55.58	56.65	65.38
Total	**956.61**	**3619.02**	**3677.62**	**3706.84**

11. The details of the trued-up IWC claimed by the Petitioner in respect of the transmission assets for the 2019-24 tariff period are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	20.88	21.62	22.37	23.16	23.97
Maintenance Spares	37.59	38.91	40.27	41.69	43.15

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Receivables	323.21	331.39	332.15	338.57	339.98
Total Working Capital	**381.68**	**391.92**	**394.79**	**403.42**	**407.10**
Rate of Interest (in %)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**45.99**	**44.09**	**41.45**	**42.36**	**48.85**

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
O&M Expenses	28.69	29.70	30.74	31.82
Maintenance Spares	51.65	53.46	55.34	57.28
Receivables	443.79	446.18	453.41	455.76
Total Working Capital	**524.13**	**529.34**	**539.49**	**544.86**
Rate of Interest (in %)	11.25	10.50	10.50	12.00
Interest on Working Capital	**15.67**	**55.58**	**56.65**	**65.38**

Commercial Operation Date (COD)

12. The Commission, vide order dated 25.1.2021 in Petition No. 85/TT/2019 and order dated 22.11.2023 in Petition No. 274/TT/2022, approved the CODs of Assets-1 and 2 as 31.3.2019 and 25.12.2020, respectively.

Capital Cost

13. The Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022, approved the capital cost and the Additional Capital Expenditure (ACE) in respect of Assets-1 and 2, respectively, for the 2019-24 tariff period as follows:

(₹ in lakh)

Asset	Apportioned cost as per FR	Capital cost as on 1.4.2019/ COD	Additional Capitalization 2019-24					Capital cost as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	18973.60	13167.97	2242.44	270.83	713.82*	385.13	-	16780.19
Asset-2	24215.19	18598.85	-	301.64	1809.86	904.93	0.00	21615.28

**inclusive of LD adjustment of ₹85.46 lakh*

14. The details of the actual ACE claimed by the Petitioner for the 2019-24 tariff

period in respect of the transmission assets, as per the Auditor's Certificates dated 16.9.2024 and 4.11.2025 for Assets-1 and 2, respectively, are as follows:

(₹ in lakh)

Asset	Apportioned cost as per FR	Capital cost as on 31.3.2019/ COD	Additional Capitalization for the 2019-24 tariff period					Capital cost as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	18973.60	13253.43	2366.17	281.36	628.35	29.99	147.18	16706.48
Asset-2	24215.19	20623.66	0.00	41.04	551.03	62.89	7.08	21285.70

Note- Asset-1: The Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023, disallowed the IDC of ₹ 57.56 lakh and the IEDC of ₹27.90 lakh (Total ₹ 85.46 lakh) due to time over-run for Asset-1 and directed the Petitioner to furnish the details of ACE on a gross basis, and ACE after the adjustment of LD at the time of truing up for the 2019-24 tariff period.

Asset-2: The Commission, vide order dated 22.11.2023 in Petition No. 274/TT/2022, condoned the time over-run of 141 days out of 675 days, disallowed the IDC of ₹ 1610.11 lakh and IEDC of ₹ 414.70 lakh due to time over-run for Asset-2 and directed the Petitioner to submit the documents in support of FMC and the procedure followed in the instant case, at the time of truing-up.

15. We have considered the Petitioner's submissions. With regard to Asset-1, the Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023, approved the capital cost of ₹13167.97 lakh as on 31.3.2019, and the same is being considered as the opening capital cost as on 1.4.2019 for the truing up of the AFC for the 2019-24 tariff period.

16. With regard to Asset-2, the expenditure up to the COD, as per the Auditor's Certificate dated 4.11.2025 submitted by the Petitioner, is ₹20623.66 lakh.

Time Over-run

17. As per IA, the transmission asset was scheduled to be put into commercial operation within 30 months from the date of IA. Accordingly, SCOD of the transmission asset is 19.2.2019, against which Asset-1 has been commissioned on 31.3.2019 with a time overrun of 40 days and Asset-2 has been commissioned on on 25.12.2020 with a time over-run of 675 days.

18. The Commission vide order dated 25.1.2021 in Petition No. 85/TT/2019 has not condoned the time overrun of 40 days in case of Asset-1.

19. In respect of Asset-2, the Commission, vide order dated 22.11.2023 in Petition No. 274/TT/2022, out of the total time over-run of 675 days, condoned the time over-run of 141 days (73 days on account of the Doklam issue and 68 days on account of the COVID-19 pandemic). .

20. The Commission vide order dated 22.11.2023 in Petition No.274/TT/2022 is held as under:

> *"Delay due to COVID-19 Pandemic:*
> ---
> *32. In the instant case, it is not clear from the submissions of the Petitioner whether the contractor has invoked FMC Clause or not. It is further observed that whether the Petitioner has extended the contractual obligations of the contractor on account of FMC Clause. The Petitioner is directed to submit all the relevant documents in support of FMC and the procedure followed in the instant case at the time of truing-up and the same will be reviewed accordingly at the time of truing-up."*

21. As per the direction of the Commission, the Petitioner, vide affidavit dated 28.11.2025, has submitted that the Committee has reviewed and analysed the final time extension granted for the contract awarded for the work, and based on its assessment, the Committee has imposed Liquidated Damages (LD) for the delay attributable to the contractor.

22. We have considered the Petitioner's submissions. The Procurement Policy Division of the Department of Expenditure at the Ministry of Finance, Government of India, issued Office Memorandum (O.M.) No. F.18/4/2020-PPD dated 13.5.2020, which extended the contracts by three to six months from 20.2.2020 due to the prevailing force majeure conditions at that time. The relevant portion of the O.M. dated 13.5.2020 is as follows:

> *"4. It is recognized that in view of the restrictions placed on the movement of goods, services and manpower on account of the lock-down situation prevailing overseas and in the country in terms of the guidelines issued by the MHA under the DM Act, 2005 and the respective State and UT Governments, it may not be possible for the parties to the contract to fulfil contractual obligations. In respect of Public-Private Partnership (PPP) concession*

contracts, a period of the contract may have become unremunerative. Therefore, after fulfilling due procedure and wherever applicable parties to the contract may invoke FMC for all construction/works contracts, goods and services contracts and PPP contracts with Government Agencies and in such event, date for completion of contractual obligations which had to be completed on or after 20th February, 2020 shall stand extended for a period of not less than three months and not more than six months without imposition of any cost or penalty on the contractor/concessionaire. Concession period in PPP contracts ending on or after 20th February, 2020 shall be extended by not less than three and not more than six months. The period of extension (between three and six months) may be decided based on the specific circumstances of the case and the period for which performance was affected by the force majeure events."

23. After the perusal of the documents submitted by the Petitioner, we observe that in the instant case, the Petitioner did not extend the contractual obligations of the contractor on account of the FMC but granted the final extension of time to the contractor with imposition of the LD.

24. Therefore, in view of the above, the extension of the contractual obligations for a period not less than 3 months and not more than 6 months after invocation of the FMC as provided by the O.M. dated 13.5.2020, is not applicable in the instant case.

Treatment of IDC and IEDC

25. The IDC for Asset-1 has already been trued up vide order dated 2.8.2024 in Petition No. 86/TT/2023.

26. The details of the IDC allowed by the Commission vide order dated 22.11.2023 in Petition No. 274/TT/2022, in respect of Asset-2, are as follows:

(₹ in lakh)

Asset	IDC as per the Auditor's Certificate	IDC disallowed due to computational difference /time overrun	IDC undischarged as on COD	IDC discharged up to COD	IDC discharged during the year	
					2020-21	2021-22
1	2	3	4	5=2-3-4	6	7
Asset-2	2402.40	1610.11	0.00	792.29	0.00	0.00

27. The Commission, in its order dated 22.11.2023 in Petition No. 274/TT/2022, at Para 40, directed the Petitioner to submit information regarding the actual interest rates of the loans used for calculating the IDC, during the truing-up process. The relevant

part of the order dated 22.11.2023 is as follows:

> *"……The un-discharged IDC as on COD has been considered as ACE during the year in which it has been discharged. However, in the statement showing IDC discharged up to COD, the Petitioner has indicated the floating rate of interest of the loans deployed. IDC on cash basis up to COD has been worked out on the basis of loan details given in the statement showing discharge of IDC and Form-9C for the transmission asset. The Petitioner is directed to submit information on actual interest rates at the time of truing-up."*

28. Further, the capital cost for Asset-2 was determined vide order dated 22.11.2023 in Petition No. 274/TT/2022. The Petitioner, in the present Petition, has claimed an IDC of ₹2402.40 lakh for Asset-2 out of which ₹2256.48 lakh was discharged up to the COD, i.e., 25.12.2020, with ₹105.76 lakh in 2020-21 and ₹40.16 lakh in 2021-22.

29. We have considered the Petitioner's submissions. As the time over-run in case of Asset-2 was partially condoned by the Commission vide its order dated 22.11.2023 in Petition No. 274/TT/2022, the IDC claimed by the Petitioner for the period beyond the Scheduled Date of Commercial Operation (SCOD) is allowed in accordance with the 2019 Tariff Regulations.

30. Accordingly, the IDC, on a cash basis, up to the COD, has been worked out based on the loan details given in the statement showing the discharge of IDC and Form-9C for Asset-2. The undischarged IDC has been considered as ACE, as claimed by the Petitioner. Therefore, the total amount of IDC allowed for Asset-2 is as follows:

(₹ in lakh)

Asset	IDC as per the Auditor's Certificate	IDC disallowed due to time over-run not condoned	IDC allowed	IDC discharged up to the COD	IDC discharged during 2020-21	IDC discharged during 2021-22
Asset 2	2402.40	1431.56	970.84	911.87	42.74	16.23

31. The details of the Incidental Expenditure During Construction (IEDC) allowed by the Commission vide order dated 22.11.2023 in Petition No. 274/TT/2022, in respect of Asset-2 are as follows:

(₹ in lakh)

Asset	IEDC as per the Auditor's Certificate	IEDC disallowed due to time over-run	IEDC allowed as on COD	IEDC discharged up to COD
Asset-2	1234.01	414.70	819.31	819.31

32. The IEDC allowed for Asset-2 is considered for the purpose of truing up the tariff for the 2019-24 tariff period since there is no change in the position of time over-run disallowed by the Commission vide order dated 22.11.2023 in Petition No. 274/TT/2022.

Initial Spares

33. The Petitioner has submitted that the Initial Spares for the transmission project have been calculated according to the limit specified under Regulation 13 of the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2014 (hereinafter referred to as "the 2014 Tariff Regulations") and Regulation 23 of the 2019 Tariff Regulations, based on the revised Auditor's Certificate. It is submitted that the excess Initial Spares of ₹138.21 lakh were restricted from the capital cost for Asset-1 during the year of discharge for the 2019-24 tariff period. The details of the Initial Spares, as submitted by the Petitioner vide affidavit dated 28.11.2025, are as follows:

(₹ in lakh)

Asset	Particulars	Cost for spare calculation (A)	Initial Spares Claimed (B)	Ceiling (in %) (C)	Initial Spares Allowable	Excess Initial Spares
					D = [(A-B)*C /(100-C)]	[B-D]
Asset-1	Substation	15685.41	1071.04	6.0	932.83	138.21
Asset-2	Substation	18933.01	1115.10	6.0	1137.31	-22.21
Total	**Substation**	**34618.42**	**2186.14**		**2070.15**	**115.99**

34. Further, as per Form-13 submitted by the Petitioner vide affidavit dated 18.8.2025, the details of the Initial Spares discharged in respect of the transmission assets are as follows:

(₹ in lakh)

Asset	Initial Spares Claimed	Initial Spares discharged as on COD	2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	1071.04	312.05	748.47	10.52	-	-	-
Asset-2	1115.10	1016.34	-	19.75	39.50	39.51	-

35. We have considered the Petitioner's submissions. Asset-1 was commissioned during the 2014-19 tariff period, and Asset-2 was commissioned during the 2019-24 tariff period. Therefore, the details of the cut-off date for the transmission assets are as follows:

Asset	COD	Cut-off date
Asset-1	31.3.2019	31.3.2022
Asset-2	25.12.2020	31.12.2023

36. In terms of Regulation 13 of the 2014 Tariff Regulations and Regulation 23 of the 2019 Tariff Regulations, the Plant and Machinery Cost to be considered for the calculation of the Initial Spares shall exclude the IDC, IEDC, land cost and cost of civil works. However, after the perusal of Form-5, Form-13 and the Auditor's Certificates submitted by the Petitioner in respect of the transmission assets, it is observed that the Petitioner has included the cost of civil works under the Plant and Machinery Cost.

37. Accordingly, the allowable Initial Spares, in respect of the transmission assets, have been re-calculated based on the actual expenditure for the 2019-24 tariff period and the same are as follows:

(₹ in lakh)

Asset	Particulars	Plant and Machinery Cost (excluding IDC, IEDC, land cost and cost of civil works) up to the cut-off date (₹ in lakh)	Initial Spares claimed (₹ in lakh)	Norms as per the 2014/2019 Tariff Regulations	Initial Spares allowable (₹ in lakh)	Excess Initial Spares (₹ in lakh)
		A	B	C	D=(A-B)*C/(100- C)	E = B- D, if B> D, otherwise 0
Asset-1	Substation (Brownfield)	14987.88	1071.04	6.00	888.31	182.73
Asset-2	Substation (Brownfield)	17001.23	1115.10	6.00	1014.01	101.09

38. Therefore, in view of the above and as per the Initial Spare Discharge Statement, the excess Initial Spares of ₹10.52 lakh and ₹172.21 lakh shall be reduced from the ACE for the FYs 2020-21 and 2019-20, respectively, in respect of Asset-1. Similarly, in respect of Asset-2, the excess Initial Spares of ₹39.51 lakh, ₹39.50 lakh, ₹19.75 lakh and ₹2.33 lakh shall be reduced from the ACE for the FYs 2022-23, 2021-22, 2020-21, respectively and from the capital cost as on COD.

39. Accordingly, the details of the capital cost in respect of Assets-1 and 2, are as follows:

Asset-1

(₹ in lakh)

Asset	Capital Cost as on 31.3.2019	Less: Excess Initial Spares	Capital cost as on 31.3.2019
Asset-1	13167.97	-	13167.97

Asset-2

(₹ in lakh)

Asset	Capital Cost as on COD as per the Auditor's Certificate	IDC disallowed due to time over-run not condoned	Undischarged IDC as on COD	IEDC disallowed due to time overrun not condoned	Excess Initial Spares disallowed as on COD	Capital cost as on COD
	A	B	C	D	E	F=A-B-C-D-E
Asset-2	20623.66	1431.56	58.97	414.70	2.33	18716.10

Additional Capital Expenditure

40. The Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022, approved the ACE for Assets-1 and 2, respectively, for the 2019-24 tariff period on account of the undischarged liabilities recognized as payable at a future date and works deferred for execution. The details of the ACE approved for the transmission assets are as follows:

(₹ in lakh)

Asset	ACE allowed					Total ACE
	2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	2242.44	270.83	713.82*	385.13	0.00	3612.22
Asset-2	0.00	301.64	1809.86	904.93	0.00	3016.43

**inclusive of LD adjustment of ₹85.46 lakh*

41. The Petitioner, in the instant trued-up Petition, has claimed the ACE based on the actual expenditure incurred for the transmission assets for the 2019-24 tariff period, and the details of the same are as follows:

(₹ in lakh)

Asset	Regulation	Projected ACE					Total ACE
		2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations.	2238.48	270.83	713.82	29.99	-	3400.30
	Regulation 25(1)(d) of the 2019 Tariff Regulations.	-	-	--	-	147.18	
Asset-2	Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations.	-	41.04	551.03	62.89	-	662.04
	Regulations 25(1)(d) of the 2019 Tariff Regulations.	-	-	-	-	7.08	

42. The Petitioner has submitted that the additional capitalization claimed for the transmission assets falls within the original scope of work. It is stated that the additional capitalization approved by the Commission for the 2019-24 tariff period was based on projections, and while estimating the additional capitalization, the contracts were not finalised nor liabilities settled. However, in this true-up Petition, the additional capitalization is claimed based on actual payments made to contractors after receiving

their invoices, including amendments until the end of the 2019-24 tariff period. It is further submitted that the ACE claimed for the 2019-24 tariff period reflects undischarged liabilities related to final or withheld payments due to contractual exigencies and works executed prior to the cut-off date.

43. The details of the Liability Flow Statement submitted by the Petitioner vide affidavits dated 18.8.2025 and 28.11.2025 are as follows:

Asset-1

(₹ in lakh)

Party Name	Particulars	Outstanding liability as on COD	Discharge					Additional Liability recognized					Outstanding as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	2019-20	2020-21	2021-22	2022-23	2023-24	
M/s Techno Electric & Montnets-Offshore	Substation	1986.86	1403.50	-	299.02	10.95	135.70	921.56	231.00	310.95	-	-	137.70
M/s Sai Construction & Co	Building and Civil Works	30.52	-	-	-	19.04	11.48	41.11	50.35	18.39	-	-	-
Total		**2017.39**	**1403.50**	**-**	**299.02**	**29.99**	**147.18**	**962.67**	**281.35**	**329.34**	**-**	**-**	**137.70**

Asset-2

(₹ in lakh)

Party Name	Particulars	Outstanding Liability as on COD	Discharge				Additional Liability Recognized					Outstanding Liability as on 31.3.2024
			2020-21	2021-22	2022-23	2023-24	2019-20	2020-21	2021-22	2022-23	2023-24	
M/s Rongxin Power Electronics Co Ltd and M/s. Techno Electric & Engg Co Ltd.	Substation	1656.71	41.04	320.00	62.89	7.08	-	-	231.03	-	-	1225.70
	I.T Equipment	5.40					-	-	-	-	-	5.40
	Battery	1283.72				-	-	-	-	-	-	1283.72
Total		**2945.83**	**41.04**	**320.00**	**62.89**	**7.08**	**-**	**-**	**231.03**	**-**	**-**	**2514.82**

44. We have considered the Petitioner's submissions. It is observed that the Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023, directed the Petitioner to furnish the details of ACE on a gross basis and ACE after the adjustment of LD, duly certified by the Auditor, at the time of truing up of the tariff for the 2019-24 tariff period.

45. In response, the Petitioner has submitted the detailed Liability Flow Statement indicating the ACE before adjustment of LD in respect of Asset-1. The Petitioner has also submitted the Auditor's Certificate dated 16.9.2024 certifying the deduction of LD recovered from the capital cost for FY 2021-22 in respect of Asset-1.

46. We note that the Petitioner has claimed the ACE for the transmission assets on account of the discharge of liability/retention payments against the works executed prior to the cut-off date and for the works deferred for execution. Therefore, as per Regulations 24(1)(a), 24(1)(b) and 25(1)(d) of the 2019 Tariff Regulations, the ACE claimed by the Petitioner in respect of the transmission assets is admitted and allowed as follows:

(₹ in lakh)

Asset	Regulation	ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations.	2366.17	281.35	628.36	29.99	-
	Regulation 25(1)(d) of the 2019 Tariff Regulations.	-	-	--	-	147.18
	Total ACE	2366.17	281.35	628.36	29.99	147.18
	Less: Excess Initial Spares	172.21	10.52	0	0	0
	Net ACE	**2193.96**	**270.83**	**628.36**	**29.99**	**147.18**

Asset	Regulation	ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Asset-2	Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations	-	41.04	551.03	62.89	0
	Regulation 25(1)(d) of the 2019 Tariff Regulations.	-	0	0	0	7.08
	Total ACE	-	41.04	551.03	62.89	7.08
	Less: Excess Initial Spares	-	19.75	39.50	39.51	0.00
	Net ACE	**-**	**21.29**	**511.53**	**23.38**	**7.08**

Treatment of Liquidated Damages

47. The Petitioner has submitted that the LD amounting to ₹101.97 lakh has been recovered from the contractor and deducted from the capital cost during FY 2021-22 in respect of Asset-1; however, the LD of ₹85.46 lakh, to the extent of IDC and IEDC disallowed due to time overrun, has been added back to the capital cost for FY 2021-22.

48. Further, with regard to Asset-2, the Petitioner, through an affidavit dated 28.11.2025, has stated that the LD amounting to ₹856.43 lakh has been recovered from the contractor and deducted from the capital cost for FY 2024-25. However, the LD of ₹414.70 lakh, relating to the extent of IEDC disallowed due to a time over-run, has been added back to the capital cost for FY 2024-25.

49. We have considered the Petitioner's submissions. The details of the IDC and IEDC disallowed by the Commission vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 in respect of Assets-1 and 2, respectively, are as follows:

Asset	IDC Disallowed due to Time over-run	IEDC Disallowed due to Time over-run	Total
Asset-1	57.56	27.90	85.46
Asset-2	1610.11	414.70	2024.81

50. Under Regulations 21(4) and 21(5) of the 2019 Tariff Regulations, when the project developer or its contractors are responsible for the time over-run, the costs associated with the time over-run, such as IDC and IEDC has to be borne by the project developer. Additionally, any LD recovered can be retained by the Petitioner.

51. In the present case, regarding Asset-1, the time over-run was not condoned by the Commission. Therefore, the IDC and IEDC for the period of time over-run not condoned is deducted from the capital cost. The amount of LD recovered, to the extent of the IDC and IEDC that were disallowed, has already been adjusted by the Petitioner

from the ACE (as certified by the Auditor) for FY 2021-22. Consequently, the treatment of the LD recovered by the Petitioner for FY 2021-22 aligns with the 2019 Tariff Regulations.

52. Further, with regard to Asset-2, the LD has been recovered by the Petitioner during FY 2024-25, and therefore, it shall be dealt with in accordance with the 2024 Tariff Regulations in the following paragraphs of this order.

53. Accordingly, the details of the total ACE allowed in respect of the transmission assets for the 2019-24 tariff period are as follows:

(₹ in lakh)

Asset	Regulation	Projected ACE				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Asset-1	Regulation 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations.	2366.17	281.35	628.36	29.99	-
	Regulation 25(1)(d) of the 2019 Tariff Regulations.	-	-	-	-	147.18
	Total ACE	**2366.17**	**281.35**	**628.36**	**29.99**	**147.18**
	Less: Excess Initial Spares	172.21	10.52	-	-	-
	Net ACE	2193.96	270.83	628.36	29.99	147.18
	Add back of LD	0.00	0.00	85.46	-	-
	Total ACE	**2193.96**	**270.83**	**713.82**	**29.99**	**147.18**

Asset	Regulation	Projected ACE				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Asset-2	Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations.	-	41.04	551.03	62.89	-
	Regulation 25(1)(d) of the 2019 Tariff Regulations.	-	-	-	-	7.08
	IDC discharged		42.74	16.23	-	-
	Total ACE	**-**	**83.78**	**567.26**	**62.89**	**7.08**
	Less: Excess Initial Spares	-	19.75	39.50	39.51	0.00
	Net ACE	**-**	**64.03**	**527.76**	**23.38**	**7.08**

54. Accordingly, the details of the trued-up capital cost and the actual ACE allowed for the transmission assets during the 2019-24 tariff period are as follows:

(₹ in lakh)

Asset	Capital cost allowed as on 1.4.2019/ COD	Additional Capitalization for the 2019-24 tariff period					Capital cost as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	13167.97	2193.96	270.83	713.82	29.99	147.18	16523.75
Asset-2	18716.10	0.00	64.03	527.76	23.38	7.08	19338.35

Debt-Equity Ratio

55. The details of the debt-equity ratio considered and allowed under Regulation 18 of the 2019 Tariff Regulations for computation of the tariff for the 2019-24 tariff period in respect of the transmission assets are as follows:

Asset-1

Funding	Capital Cost as on 1.4.2019		ACE during the 2019-24 tariff period		Capital Cost as on 31.3.2024	
	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)
Debt	9217.58	70.00	2349.05	70.00	11566.62	70.00
Equity	3950.39	30.00	1006.73	30.00	4957.12	30.00
Total	**13167.97**	100.00	**3355.78**	100.00	**16523.75**	100.00

Asset-2

Funding	Capital Cost as on COD		ACE during the 2019-24 tariff period		Capital Cost as on 31.3.2024	
	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)
Debt	13101.27	70.00	435.57	70.00	13536.85	70.00
Equity	5614.83	30.00	186.67	30.00	5801.51	30.00
Total	**18716.10**	100.00	**622.25**	100.00	**19338.35**	100.00

Depreciation

56. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2019 for Asset-1 and admitted capital expenditure as on COD for Asset-2, and the subsequent ACE allowed up to 31.3.2024. The Weighted Average Rate of Depreciation (WAROD) for the transmission assets has been computed according to the rates of depreciation specified in the 2019 Tariff Regulations. Accordingly, the depreciation allowed in respect of the transmission assets is as

follows:

Asset-1

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Gross Block	13167.97	15361.93	15632.76	16346.58	16376.57
B	Addition during the year 2019-24 due to projected ACE	2193.96	270.83	713.82	29.99	147.18
C	Closing Gross Block (A+B)	15361.93	15632.76	16346.58	16376.57	16523.75
D	Average Gross Block (A+C)/2	14264.95	15497.34	15989.67	16361.57	16450.16
E	Average Gross Block (90% depreciable assets)	14191.49	15423.88	15915.97	16287.63	16376.22
F	Average Gross Block (100% depreciable assets)	73.46	73.46	73.70	73.94	73.94
G	Depreciable Value (excluding IT equipment and software) (E*90%)	12772.34	13881.49	14324.37	14658.87	14738.59
H	Depreciable Value of IT equipment and software (F*100%)	73.46	73.46	73.70	73.94	73.94
I	Total Depreciable Value (G+H)	12845.80	13954.95	14398.07	14732.81	14812.53
J	Weighted Average Rate of Depreciation (WAROD) (in %)	5.3273	5.3178	5.3126	5.3098	5.3078
K	Lapsed useful life at the beginning of the year (Year)	1	2	3	4	5
L	Balance useful life at the beginning of the year (Year)	23	22	21	20	19
M	**Depreciation during the year (D*J)**	**759.93**	**824.11**	**849.47**	**868.76**	**873.14**
N	Cumulative Depreciation at the end of the year	761.84	1585.95	2435.41	3304.18	4177.32
O	Remaining Aggregate Depreciable Value at the end of the year (I-N)	12083.96	12369.00	11962.65	11428.63	10635.21

Asset-2

(₹ in lakh)

Sl. No.	Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
A	Opening Gross Block	18716.10	18780.13	19307.89	19331.27
B	Addition during the year 2019-24 due to projected ACE	64.03	527.76	23.38	7.08
C	Closing Gross Block (A+B)	18780.13	19307.89	19331.27	19338.35
D	Average Gross Block (A+C)/2	18748.12	19044.01	19319.58	19334.81
E	Average Gross Block (90% depreciable assets)	18132.88	18427.81	18703.11	18718.34
F	Average Gross Block (100% depreciable assets)	615.23	616.20	616.47	616.47
G	Depreciable Value (excluding IT equipment and software) (E*90%)	16319.60	16585.03	16832.80	16846.51
H	Depreciable Value of IT equipment and software (F*100%)	615.23	616.20	616.47	616.47
I	Total Depreciable Value (G+H)	16934.83	17201.23	17449.27	17462.98

Sl. No.	Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
J	Weighted Average Rate of Depreciation (WAROD) (in %)	5.5990	5.5945	5.5902	5.5899
K	Lapsed useful life at the beginning of the year (Year)	0	0	1	2
L	Balance useful life at the beginning of the year (Year)	24	24	23	22
M	**Depreciation during the year (D*J)**	**278.96**	**1065.42**	**1079.99**	**1080.80**
N	Cumulative Depreciation at the end of the year	278.96	1344.38	2424.37	3505.17
O	Remaining Aggregate Depreciable Value at the end of the year (I-N)	16655.87	15856.85	15024.89	13957.80

57. The details of the depreciation allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 for Assets-1 and 2, respectively; the depreciation claimed in the instant true-up Petition and the trued-up depreciation allowed for the transmission assets in the instant order, are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	761.21	826.67	851.98	880.41	890.20
Claimed by the Petitioner in the instant true-up Petition.	761.11	826.46	851.82	871.12	875.50
Allowed after truing-up in this order.	759.93	824.11	849.47	868.76	873.14

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	278.93	1107.12	1181.09	1205.75
Claimed by the Petitioner in the instant true-up Petition.	299.62	1147.11	1164.44	1166.29
Allowed after truing-up in this order.	278.96	1065.42	1079.99	1080.80

Interest on Loan (IoL)

58. The Petitioner has claimed the Weighted Average Rate of Interest (WAROI) on

loans based on its actual loan portfolio and the prevailing interest rate.

59. We have considered the Petitioner's submissions and have perused the record. The calculation of WAROI as submitted by the Petitioner is in order and has, accordingly, been adopted for the truing up of the Interest on Loan (IoL) for the 2019-24 tariff period. The trued-up IoL allowed in respect of the transmission assets is as follows:

Asset-1

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Gross Normative Loan	9217.58	10753.35	10942.93	11442.60	11463.60
B	Cumulative Repayments up to the Previous Year	1.90	761.84	1585.95	2435.41	3304.18
C	Net Loan-Opening (A-B)	9215.67	9991.51	9356.98	9007.19	8159.42
D	Addition due to ACE	1535.77	189.58	499.67	20.99	103.03
E	Repayment during the year	759.93	824.11	849.47	868.76	873.14
F	Net Loan-Closing (C+D-E)	9991.51	9356.98	9007.19	8159.42	7389.30
G	Average Loan (C+F)/2	9603.59	9674.25	9182.08	8583.30	7774.36
H	Weighted Average Rate of Interest on Loan (in %)	7.9647	7.0316	6.8291	7.3235	7.9986
I	**IOL allowed (G*H)**	**764.90**	**680.25**	**627.05**	**628.60**	**621.84**

Asset-2

(₹ in lakh)

Sl. No.	Particulars	2020-21 (97 days)	2021-22	2022-23	2023-24
A	Gross Normative Loan	13101.27	13146.09	13515.52	13531.89
B	Cumulative Repayments up to the Previous Year	0.00	278.96	1344.38	2424.37
C	Net Loan-Opening (A-B)	13101.27	12867.13	12171.14	11107.51
D	Addition due to ACE	44.82	369.43	16.37	4.96
E	Repayment during the year	278.96	1065.42	1079.99	1080.80
F	Net Loan-Closing (C+D-E)	12867.13	12171.14	11107.51	10031.67
G	Average Loan (C+F)/2	12984.20	12519.14	11639.33	10569.59
H	Weighted Average Rate of Interest on Loan (in %)	6.6995	6.7097	7.2791	8.0391
I	**IOL allowed (G*H)**	**231.17**	**840.00**	**847.23**	**849.70**

60. The details of the IoL allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 in respect of Assets-1 and 2, respectively, the IoL claimed in this true-up Petition and the trued-up IoL allowed

in respect of the transmission assets in this order are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	791.68	791.35	747.23	706.37	644.95
Claimed by the Petitioner in the instant true-up Petition.	766.09	682.28	628.86	630.36	623.70
Allowed after truing-up in this order.	764.90	680.25	627.05	628.60	621.84

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	231.18	872.65	859.85	801.82
Claimed by the Petitioner in the instant true-up Petition.	248.29	904.51	913.80	917.50
Allowed after truing-up in this order.	231.17	840.00	847.23	849.70

Return on Equity (RoE)

61. The Petitioner has submitted that its Income Tax Assessment has been completed and the Assessment Orders have been issued by the Income Tax Department for the FYs 2019-20 and 2020-21. It is submitted that the income of the Petitioner for these years was assessed under MAT as per Section 115JB of the Income Tax Act, 1961 (IT Act, 1961). It is further submitted that the Income Tax Returns (ITRs) have also been filed for the FYs 2021-22, 2022-23 and 2023-24.

62. The Petitioner has also submitted that it is liable to pay the income tax at MAT rates (i.e. 17.472, i.e., 15% Income Tax + 12% Surcharge on Income Tax + 4% Health and Education Cess on Income Tax and Surcharge). The Petitioner has claimed the following effective tax rates for the 2019-24 tariff period:

Year	Claimed effective tax rate (in %)	Grossed-up rate for RoE (in %) [(Base Rate)/(1-t)]
2019-20	17.472	18.782
2020-21	17.472	18.782
2021-22	17.472	18.782
2022-23	17.472	18.782
2023-24	17.472	18.782

63. The Petitioner has furnished the Assessment Orders for the FYs 2019-20 and 2020-21, along with the ITRs for the FYs 2021-22, 2022-23 and 2023-24. Accordingly, the computation of the effective tax percentage is as under:

Financial Year	Basis considered	Total Tax and Interest paid (₹ in lakh)	Assessed MAT Income under Section 115JB of the IT Act, 1961 (₹ in lakh)	Effective Tax Percentage (in %)	Grossed up ROE (Base rate/(1-t) (in %)
2019-20	Assessment Order	24526276991	140374753855	17.472	18.782
2020-21	Assessment Order	26089359008	149320965036	17.472	18.782
2021-22	Actual Tax paid	31814640406	182089288030	17.472	18.782
2022-23	Actual Tax paid	30428820993	174157629306	17.472	18.782
2023-24	Actual Tax paid	31321238737	179265331597	17.472	18.782

64. The Petitioner has requested to allow it to claim the differential tariff on account of the trued-up Return on Equity (RoE), based on the effective tax rate calculated upon the completion of the Income Tax Assessment or Re-assessment for the FYs 2019-20, 2020-21, 2021-22, 2022-23 and 2023-24 upon receipt of the respective Assessment Orders directly from the beneficiaries, on a year-to-year basis, as provided in the regulation.

65. We have considered the Petitioner's submissions and have gone through the record. We note that the entities covered under the MAT regime are paying Income Tax as per the MAT rates notified for the respective financial years under the IT Act, 1961, which is levied on the book profit of the entity computed as per Section 115 JB(2) of the IT Act, 1961. Section 115 JB (2) of the IT Act, 1961 defines the book profit as the net profit in the Statement of Profit and Loss prepared in accordance with the

Schedule-III of the Companies Act, 2013, subject to some additions and deductions as mentioned in the IT Act, 1961. Since the Petitioner has been paying the MAT rates of the respective financial years, these notified MAT rates for the respective financial years shall be considered as an effective tax rate for the purpose of grossing up of the RoE for truing up of the tariff for the 2019-24 tariff period in terms of the provisions of the 2019 Tariff Regulations.

66. Further, the interest imposed on any additional income tax demand, as per the Assessment Order of the Income Tax Authorities, shall be considered on the actual payment. However, any penalty (for default on the part of the Assessee), shall not be taken into account for the purpose of grossing up the rate of RoE. Any under-recovery or over-recovery of the grossed-up rates on the RoE after truing-up, shall be recovered from or refunded to the beneficiaries or the long-term customers, as the case may be, on a year-to-year basis. Therefore, the following effective tax rates based on the notified MAT rates are considered for the purpose of grossing up the rate of RoE:

Year	Notified MAT rates (in %) (inclusive of surcharge and cess)	Effective tax 't' (in %)	Base rate of RoE (in %)	Grossed-up rate for RoE [(Base Rate)/(1-t)] (in%)
2019-20	17.472	17.472	15.50	18.782
2020-21	17.472	17.472	15.50	18.782
2021-22	17.472	17.472	15.50	18.782
2022-23	17.472	17.472	15.50	18.782
2023-24	17.472	17.472	15.50	18.782

67. Accordingly, the trued-up RoE allowed in respect of the transmission assets for the 2019-24 tariff period is as follows:

Asset-1

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Equity	3950.39	4608.58	4689.83	4903.97	4912.97
B	Addition due to ACE	658.19	81.25	214.15	9.00	44.15

C	Closing Equity (A+B)	4608.58	4689.83	4903.97	4912.97	4957.12
D	Average Equity (A+C)/2	4279.48	4649.20	4796.90	4908.47	4935.05
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**ROE allowed**	**803.77**	**873.21**	**900.95**	**921.91**	**926.90**

Asset-2

(₹ in lakh)

Sl. No.	Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
A	Opening Equity	5614.83	5634.04	5792.37	5799.38
B	Addition due to ACE	19.21	158.33	7.01	2.12
C	Closing Equity (A+B)	5634.04	5792.37	5799.38	5801.51
D	Average Equity (A+C)/2	5624.44	5713.20	5795.87	5800.44
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782
H	**ROE allowed**	**280.74**	**1073.05**	**1088.58**	**1089.44**

68. The details of the RoE allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 for Assets-1 and 2, respectively, RoE claimed in this true-up Petition, and the trued-up RoE allowed in this order in respect of the transmission assets are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	805.14	875.94	903.69	934.65	945.50
Claimed by the Petitioner in the instant true-up Petition.	805.03	875.72	903.46	924.42	929.41
Allowed after truing-up in this order.	803.77	873.21	900.95	921.91	926.90

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	280.76	1115.96	1192.44	1217.93
Claimed by the Petitioner in the instant true-up Petition.	301.53	1155.40	1173.83	1175.80
Allowed after truing-up in this order.	280.74	1073.05	1088.58	1089.44

Operation and Maintenance Expenses (O&M Expenses)

69. The Commission, vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022, allowed the Operation and Maintenance Expenses (O&M Expenses) in respect of Assets-1 and 2, respectively, for the 2019-24 tariff period. The details of the O&M Expenses allowed for the 2019-24 tariff period are as follows:

(₹ in lakh)

Asset	O&M Expenses				
	2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	235.48	243.74	252.30	261.15	270.32
Asset-2	-	75.30	293.27	303.57	314.22

70. The Petitioner has claimed the following O&M Expenses for the 2019-24 tariff period in this true-up Petition:

(₹ in lakh)

Asset	O&M Expenses				
	2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	250.59	259.39	268.49	277.91	287.67
Asset-2		91.50	356.41	368.92	381.86

71. We have considered the Petitioner's submissions. As per clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations, the O&M Expenses of Static Synchronous Compensator, and Static Var Compensator shall be worked out at @ 1.5% of the "original project cost" as on COD.

72. The “original project cost” has been defined in Regulation 3(46) of the 2019 Tariff Regulations as the capital expenditure/cost within the original scope of the transmission project up to the cut-off date. However, clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations refers to the “original project cost” of the STATCOM as on COD for the purpose of determining the O&M Expenses. To address the said difference in the definition of “original project cost” in Regulation 3(46) and clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations, the Commission, vide order dated 18.10.2021 in Petition No. 658/TT/2020, while allowing the O&M Expenses for the STATCOM, relaxed clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations by exercising the powers conferred to it under Regulation 76 of the 2019 Tariff Regulations and allowed the O&M Expenses for the STATCOM @1.5% of the Plant and Machinery Cost (excluding IDC, IEDC, Land Cost, and Cost of Civil Works) of the STATCOM as on the cut-off date. The relevant portion of the order dated 18.10.2021 in Petition No. 658/TT/2020 is extracted as follows:

> *“77. The clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations provides for O&M Expenses @ 1.5% of the “original project cost” of the STATCOM as on COD. “Original Project Cost” has been defined in Regulation 3(46) of the 2019 Tariff Regulations as under:*
>
> *“3(46) ‘Original Project Cost' means the capital expenditure incurred by the generating company or the transmission licensee, as the case may be, within the original scope of the project up to the cut-off date, and as admitted by the Commission;”*
>
> *78. While “Original Project Cost” as defined in Regulation 3(46) of the 2019 Tariff Regulations covers capital expenditure/ cost within the original scope of the project up to the cut-off date, clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations refers to the “original project cost” of the STATCOM as on COD for the purpose of determining O&M Expenses.*
>
> *79. We also observe that “original project cost” includes components of IDC, IEDC, land cost and cost of civil works. However, as per Regulation 3(45) of the 2019 Tariff Regulations extracted hereunder, the O&M Expenses are allowed for operation and maintenance of the project or part thereof and includes the expenditure towards manpower, maintenance, repairs and maintenance etc. but it excludes IDC, IEDC, land cost and cost of civil works:*

"(45) 'Operation and Maintenance Expenses' or 'O&M expenses' means the expenditure incurred for operation and maintenance of the project, or part thereof, and includes the expenditure on manpower, maintenance, repairs and maintenance spares, consumables, insurance and overheads and fuel other than used for generation of electricity;"

80. Therefore, we are of the view that determination of O&M expenses on the basis of Project cost (including IDC, IEDC Land cost and Cost of civil work) will not be consistent with the provisions of the 2019 Tariff Regulations as extracted above.

81. Regulation 76 of the 2019 Tariff Regulations provides for relaxation of any of the provisions of the 2019 Tariff Regulations by recording the reasons for the same. The said Regulation provides as follows.

"76. Power to Relax: The Commission, for reasons to be recorded in writing, may relax any of the provisions of these regulations on its own motion or on an application made before it by an interested person."

82. To address above issues arising out of the difference in the way in which "original project cost" has been considered in clause (vi) of the second proviso to Regulation 35(3)(a) and Regulation 3(46) of the 2019 Tariff Regulations, we relax clause (vi) of the second proviso to Regulation 35(3)(a) of the 2019 Tariff Regulations under Regulation 76 of the 2019 Tariff Regulations and allow O&M Expenses for the transmission assets @1.5% of the Plant and Machinery cost (excluding IDC, IEDC, Land cost and cost of Civil works) of the STATCOM as on the cut-off date. The same has been escalated at the rate of 3.51% to work out the O&M Expenses for the 2019-24 tariff period."

73. In line with the Commission's order dated 18.10.2021 in Petition No. 658/TT/2020, the O&M Expenses are allowed @1.5% of the Plant and Machinery Cost (excluding IDC, IEDC, land cost, and cost of civil works) as on the cut-off date of the transmission assets. The same has been escalated at the rate of 3.51% to work out the O&M Expenses for the 2019-24 tariff period, and the same are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
STATCOM in the Northern Region at Nalagarh					
Plant and Machinery Cost (excluding IDC, IEDC, land cost, and cost of civil works) up to the cut-off date	14987.88	14987.88	14987.88	14987.88	14987.88
Norms (in %)	1.50%	1.5527%	1.6071%	1.6636%	1.7219%
O&M Expenses allowed	224.82	232.71	240.88	249.33	258.08

Asset-2

(₹ in lakh)

Particulars	2020-21 (Pro-rata for 97 days)	2021-22	2022-23	2023-24
STATCOM in the Northern Region at Lucknow				
Plant and Machinery Cost (excluding IDC, IEDC, land cost, and cost of civil works) up to the cut-off date	17001.23	17001.23	17001.23	17001.23
Norms (in %)	1.50%	1.5527%	1.6071%	1.6636%
O&M Expenses allowed	67.77	263.97	273.23	282.83

74. Accordingly, the details of the O&M Expenses allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022, for Assets-1 and 2, respectively; O&M Expenses claimed by the Petitioner in this true-up Petition, and the trued-up O&M Expenses allowed in this order in respect of the transmission assets are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	235.48	243.74	252.30	261.15	270.32
Claimed by the Petitioner in the instant true-up Petition.	250.59	259.39	268.49	277.91	287.67
Allowed after truing-up in this order.	224.82	232.71	240.88	249.33	258.08

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	75.30	293.27	303.57	314.22
Claimed by the Petitioner in the instant true-up Petition.	91.50	356.41	368.92	381.86
Allowed after truing-up in this order.	67.77	263.97	273.23	282.83

Interest on Working Capital (IWC)

75. The IWC has been worked out in accordance with Regulation 34 of the 2019 Tariff Regulations. The Rate of Interest (RoI) considered is 12.05% (SBI 1-year MCLR applicable as on 1.4.2019 of 8.55% plus 350 basis points) for the FY 2019-20, 11.25%

(SBI 1-year MCLR applicable as on 1.4.2020 of 7.75% plus 350 basis points) for the FY 2020-21, 10.50% (SBI 1-year MCLR applicable as on 1.4.2021 of 7.00% plus 350 basis points) for the FYs 2021-22 and 2022-23 and 12.00% (SBI 1 year MCLR applicable as on 1.4.2023 of 8.50% plus 350 basis points) for the FY 2023-24.

76. The details of the components of the working capital and interest allowed thereon for the transmission assets are as follows:

Asset-1

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Working Capital for O&M Expenses (O&M Expenses for one month)	18.73	19.39	20.07	20.78	21.51
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	33.72	34.91	36.13	37.40	38.71
C	Working Capital for Receivables (Equivalent to 45 days of Annual Fixed Cost/Annual Transmission Charges)	319.46	327.11	327.78	334.08	335.34
D	**Total Working Capital (A+B+C)**	371.91	381.41	383.99	392.26	395.56
E	Rate of Interest for Working Capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**44.82**	**42.91**	**40.32**	**41.19**	**47.47**

Asset-2

(₹ in lakh)

Sl. No.	Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
A	Working Capital for O&M Expenses (O&M Expenses for one month)	21.25	22.00	22.77	23.57
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	38.25	39.60	40.99	42.42
C	Working Capital for Receivables (Equivalent to 45 days of Annual Fixed Cost/Annual Transmission Charges)	404.78	405.80	411.65	413.15
D	**Total Working Capital (A+B+C)**	464.28	467.40	475.41	479.14
E	Rate of Interest for Working Capital (in %)	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**13.88**	**49.08**	**49.92**	**57.50**

77. The details of the IWC allowed vide order dated 2.8.2024 in Petition No.

86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 for Assets-1 and 2, respectively; IWC claimed in this true-up Petition, and the trued-up IWC allowed in this order in respect of the transmission assets are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	45.72	44.99	42.40	42.98	48.88
Claimed by the Petitioner in the instant true-up Petition.	45.99	44.09	41.45	42.36	48.85
Allowed after truing-up in this order	44.82	42.91	40.32	41.19	47.47

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	14.19	51.73	53.92	54.09
Claimed by the Petitioner in the instant true-up Petition.	15.67	55.58	56.65	65.38
Allowed after truing-up in this order.	13.88	49.08	49.92	57.50

Trued-up Annual Fixed Charges for the 2019-24 Tariff Period

78. Accordingly, the trued-up Annual Fixed Charges (AFC) allowed for the 2019-24 tariff period in respect of the transmission assets are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	759.93	824.11	849.47	868.76	873.14
Interest on Loan	764.90	680.25	627.05	628.60	621.84
Return on Equity	803.77	873.21	900.95	921.91	926.90
O&M Expenses	224.82	232.71	240.88	249.33	258.08
Interest on Working Capital	44.82	42.91	40.32	41.19	47.47
Total	**2598.24**	**2653.20**	**2658.67**	**2709.79**	**2727.43**

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Depreciation	278.96	1065.42	1079.99	1080.80
Interest on Loan	231.17	840.00	847.23	849.70
Return on Equity	280.74	1073.05	1088.58	1089.44
O&M Expenses	67.77	263.97	273.23	282.83
Interest on Working Capital	13.88	49.08	49.92	57.50
Total	**872.52**	**3291.52**	**3338.96**	**3360.26**

79. The details of the annual transmission charges allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023 and order dated 22.11.2023 in Petition No. 274/TT/2022 for Assets-1 and 2, respectively, the transmission charges claimed in this true-up Petition, and the trued-up annual transmission charges allowed in this order in respect of the transmission assets are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 2.8.2024 in Petition No. 86/TT/2023.	2639.23	2782.69	2797.60	2825.56	2799.85
Claimed by the Petitioner in this true-up Petition.	2628.81	2687.94	2694.08	2746.17	2765.13
Allowed after truing-up in this order.	2598.24	2653.20	2658.67	2709.79	2727.43

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata 97 days)	2021-22	2022-23	2023-24
Allowed vide order dated 22.11.2023 in Petition No. 274/TT/2022.	880.36	3440.73	3590.87	3593.81
Claimed by the Petitioner in this true-up Petition.	956.61	3619.01	3677.64	3706.83
Allowed after truing-up in this order.	872.52	3291.52	3338.96	3360.26

DETERMINATION OF THE ANNUAL FIXED CHARGES FOR THE 2024-29 TARIFF PERIOD

80. The Petitioner has combined the transmission assets into Combined Assets for the purpose of determining the tariff for the 2024-29 tariff period. The details of the transmission charges claimed for the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Depreciation	2067.66	2119.50	2154.53	2,108.77	2,033.98
Interest on Loan	1407.34	1293.27	1156.46	981.16	810.52
Return on Equity	2127.88	2179.60	2214.26	2,214.26	2,214.26
O&M Expenses	107.13	108.24	108.51	106.33	104.45
Interest on Working Capital	550.31	579.66	609.17	640.74	676.21
Total	**6260.32**	**6280.27**	**6242.93**	**6051.26**	**5839.42**

Effective Date of Commercial Operation (E-COD)

81. The Petitioner has claimed the Effective Date of Commercial Operation (E-COD) of the Combined Assets as 19.3.2020. The E-COD has been worked out, based on the trued-up admitted capital cost and the actual COD of the transmission assets, as follows:

Computation of E-COD						
Asset	**COD**	**Admitted Cost as on 31.3.2024 (₹ in lakh)**	**Weight of the cost (in %)**	**No. of days from last COD**	**Weighted Days**	**E-COD**
Asset-1	31.3.2019	16523.75	46.08%	635	292.58	7.3.2020
Asset-2	25.12.2020	19338.35	53.92%	-	-	
Total		**35862.10**	100.00%		**292.58**	
E-COD (Latest COD-Total Weighted Days)						

82. The E-COD is used to determine the elapsed life of the transmission project as a whole, which works out as four (4) years as on 1.4.2024 (i.e. the number of completed years as on 1.4.2024 from the E-COD).

Weighted Average Life (WAL)

83. Regulation 33 of the 2024 Tariff Regulations has been considered for the determination of the Weighted Average Life (WAL) of the transmission project. Since the Combined Assets may include multiple elements such as land, buildings, transmission lines, substation and Power Line Carrier Communication (PLCC) and IT Equipment, each element may have a different span of life. Therefore, the concept of WAL has been used to represent the useful life of the transmission project as a whole.

84. The WAL has been determined based on the admitted capital cost of the individual elements as on 31.3.2024 and their respective useful life as stipulated in the 2024 Tariff Regulations. For this purpose, the element-wise useful life, as specified in the 2024 Tariff Regulations, has been considered, and not the element-wise useful life specified in the 2019 Tariff Regulations that prevailed at the time of the actual COD of the transmission assets. Accordingly, the WAL for the Combined Assets has been worked out as 25 years and the same is as follows:

Particulars	Combined Assets Cost as on 1.4.2024 (₹ in lakh)	Life in Years	Weighted Cost	Weighted Average Life of Asset (in years)
	1	2	(3) = (1)x(2)	(4) = (3)/(1)
Building and Civil	140.37	25	3509.25	
Substation	34942.36	25	873559.12	24.62 years Rounded off to 25 years
IT Equipment (Incl. Software)	690.41	7	4832.85	
Batteries	88.95	10	889.54	
Total	**35863.10**	**32**	**882790.76**	

85. The WAL as on 1.4.2024, as determined above, shall be applied prospectively for the 2024-29 tariff period, and no retrospective adjustment of depreciation is required for the 2019-24 tariff period (previous tariff period). As discussed, the E-COD of the Combined Assets is 7.3.2020. The elapsed life of the transmission project as a whole, therefore, works out to four (4) years as on 1.4.2024 (i.e. the number of

completed years as on 1.4.2024 from E-COD). Accordingly, the WAL has been used to determine the remaining useful life of the Combined Assets as on 31.3.2024 as 21 years.

Capital Cost

86. Regulation 19 of the 2024 Tariff Regulations provides as follows:

> *"**19. Capital Cost**: (1) The Capital cost of the generating station or the transmission system, as the case may be, as determined by the Commission after prudence checks in accordance with these regulations shall form the basis for the determination of tariff for existing and new projects.*
>
> *(2) The Capital Cost of a new project shall include the following:*
>
> *(a) The expenditure incurred or projected to be incurred up to the date of commercial operation of the project;*
> *(b) Interest during construction and financing charges, on the loans (i) being equal to 70% of the funds deployed and, in the event actual equity is in excess of 30% on a pari-passu basis, by treating the excess equity over and above 30% of the funds deployed as a normative loan, or (ii) being equal to the actual amount of the loan in the event of actual equity being less than 30% of the funds deployed;*
> *(c) Any gain or loss on account of foreign exchange risk variation pertaining to the loan amount availed during the construction period;*
> *(d) Interest during construction and incidental expenditure during construction as computed in accordance with these regulations;*
> *(e) Capitalised initial spares subject to the ceiling rates in accordance with these regulations;*
> *(f) Expenditure on account of additional capitalization and de-capitalisation determined in accordance with these regulations;*
> *(g) Adjustment of revenue due to the sale of infirm power in excess of fuel cost prior to the date of commercial operation as specified under Regulation 6 of these regulations;*
> *(h) Adjustment of revenue earned by the transmission licensee by using the assets before the date of commercial operation;*
> *(i) Capital expenditure on account of ash disposal and utilization including handling and transportation facility;*
> *(j) Capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal up to the receiving end of the generating station but does not include the transportation cost and any other appurtenant cost paid to the railway;*
> *(k) Capital expenditure on account of biomass handling equipment and facilities, for co-firing;*
> *(l) Capital expenditure on account of emission control system necessary to meet the revised emission standards and sewage treatment plant;*
> *(m) Expenditure on account of the fulfilment of any conditions for obtaining environment clearance for the project;*
> *(n) Expenditure on account of change in law and force majeure events; and*
> *(o) ……..*
> *(p) ……..*

(3) The Capital cost of an existing project shall include the following:

(a) Capital cost admitted by the Commission prior to 1.4.2024 duly trued up by excluding liability, if any, as on 1.4.2024;

(b) Additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these regulations;

(c) Capital expenditure on account of renovation and modernisation as admitted by this Commission in accordance with these regulations;

(d) to (h) …….

(i) Expenditure on account of change in law and force majeure events;

(4) ……..

(5) ……..

(6) The following shall be excluded from the capital cost of the existing and new projects:

(a) The assets forming part of the project but not in use, as declared in the tariff petition;

(b) De-capitalised Assets after the date of commercial operation on account of obsolescence;

(c) De-capitalised Assets on account of upgradation or shifting from one project to another project:

Provided that in case such an asset is recommended for further utilisation by the Regional Power Committee in consultation with CTU, such asset shall be de-capitalised from the original project only after its redeployment;

Provided further that unless shifting of an asset from one project to another is of a permanent nature, there shall be no de-capitalization of the concerned assets.

(d) ……..

(e) Proportionate cost of land of the existing generation or transmission project, as the case may be, which is being used for generating power from a generating station based on renewable energy as may be permitted by the Commission; and

(f) Any grant received from the Central or State Government or any statutory body or authority for the execution of the project that does not carry any liability of repayment."

87. The Petitioner vide affidavit dated 28.11.2025, has claimed the revised capital cost and ACE in respect of the Combined Assets for the 2024-29 tariff period as follows:

(₹ in lakh)

Asset	FR Approved Cost	Expenditure as on 1.4.2024	Projected ACE		Estimated Capital Cost as on 31.3.2029
			2024-2025	2025-26	
Combined Assets	43188.79	37461.48	606.00	1230.12	39297.60

88. We have considered the Petitioner's submissions. The true-up capital cost of ₹16523.75 lakh and ₹19338.35 lakh has been allowed by the Commission in respect of Assets-1 and 2, respectively, as on 31.3.2024. Therefore, the total capital cost of

₹35862.10 lakh (₹16523.75 lakh + ₹19338.35 lakh) is being considered as the opening capital cost as on 1.4.2024 in respect of the Combined Assets.

Initial Spares

89. The Petitioner, vide affidavit dated 28.11.2025, has submitted that the Initial Spares for the transmission project have been calculated according to the limits specified under Regulation 13 of the 2014 Tariff Regulations and Regulation 23 of the 2019 Tariff Regulations. After calculation at the project level, the Initial Spares amount of ₹22.21 lakh has been added back to the Combined Assets as on 1.4.2024. The details of the Initial Spares claimed, as submitted by the Petitioner, are as follows:

(₹ in lakh)

Asset	Particulars	Cost for spare calculation (A)	Initial Spares Claimed (B)	Ceiling (in %) (C)	Initial Spares Allowable	Excess initial spares
					D = [(A-B)*C /(100-C)]	[B-D]
Asset-1	Substation	15685.41	1071.04	6.0	932.83	138.21
Asset-2	Substation	18933.01	1115.10	6.0	1137.31	-22.21
TOTAL	**Substation**	**34618.42**	**2186.14**		**2070.15**	**115.99**

90. We have considered the Petitioner's submissions. The Appellate Tribunal for Electricity (APTEL), in its judgment dated 14.9.2019 in Appeal No. 74 of 2017, observed that the Commission may restrict the Initial Spares to the cost of each individual asset for prudence checks. Later, at the time of truing-up, the Commission can allow the Initial Spares as per the limit, on the overall project cost. The relevant portion of the judgment dated 14.9.2019 is excerpted below:

> *"18.13. …… We do not agree with this methodology of restricting initial spares asset / element wise as adopted by the Central Commission. The Central Commission to have a prudence check on the initial spares, being restricted based on the individual asset wise cost initially, but subsequently ought to have allowed as per the ceiling limits on the overall project cost basis during the true- up."*

91. Since the Petitioner has combined the transmission assets for the 2024-29 tariff period, in accordance with the APTEL's judgement dated 14.9.2019 in Appeal No. 74

of 2017, the Initial Spares are recalculated with respect to the Combined Assets based on the overall project cost, as follows:

Asset	Plant and Machinery Cost (excluding IDC, IEDC, land Cost & Cost of civil works) up to the cut-off date	Initial Spares Claimed (A)	Norms as per the 2019 Tariff Regulations (in %)	Initial Spares allowable as per the 2014/2019 Tariff Regulations (B)	Initial Spares already allowed	Additional Initial Spares to be allowed for the Combined Assets
Asset-1	14987.88	1071.04	6%	888.31	888.31	
Asset-2	17001.23	1115.10	6%	1014.01	1014.01	
Total		**2186.14**		**1902.32**	**1902.32**	**0.00**

92. Accordingly, the details of the capital cost in respect of the Combined Assets as on 1.4.2024 are as follows:

(₹ in Lakh)

Capital Cost approved as on 31.3.2024	Additional Initial Spares allowed as per the APTEL's judgement dated 14.9.2019	Capital Cost allowed as on 1.4.2024
35862.10	0.00	35862.10

<u>Additional Capital Expenditure</u>

93. Regulations 24 and 25 of the 2024 Tariff Regulations provide as follows:

"24. Additional Capitalisation within the original scope and up to the cut-off date

(1) The additional capital expenditure in respect of a new project or an existing project incurred or projected to be incurred, on the following counts within the original scope of work, after the date of commercial operation and up to the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Payment made towards admitted liabilities for works executed up to the cut-off date;
(b) Works deferred for execution;
(c) Procurement of initial capital spares within the original scope of work, in accordance with the provisions of Regulation 23 of these regulations;
(d) Payment against the award of arbitration or for compliance with the directions or order of any statutory authority or order or decree of any court of law;
(e) Change in law or compliance of any existing law which is not provided for in the original scope of work;
(f) For uninterrupted and timely development of Hydro projects, expenditure incurred towards developing local infrastructure in the vicinity of the power plant not exceeding Rs. 10 lakh/MW shall be considered as part of capital cost and in case the same work is covered under budgetary support provided by Government of India, the funding of such works shall be adjusted on receipt of such funds;

(g) Provided that such expenditure shall be allowed only if the expenditure is incurred through Indian Governmental Instrumentality; and
(h) Force Majeure events:

Provided that in case of any replacement of the assets, the additional capitalization shall be worked out after adjusting the gross fixed assets and cumulative depreciation of the assets replaced on account of de-capitalization.

(2) The generating company or the transmission licensee, as the case may be shall submit the details of works asset wise/work wise included in the original scope of work along with estimates of expenditure, liabilities recognized to be payable at a future date and the works deferred for execution.

25.Additional Capitalisation within the original scope and after the cut-off date:

(1) The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Payment made against award of arbitration or for compliance with the directions or order of any statutory authority; or order or decree of any court of law;
(b) Change in law or compliance with any existing law which is not provided for in the original scope of work;
(c) Deferred works relating to ash pond or ash handling system or raising of ash dyke in the original scope of work;
(d) Payment made towards liability admitted for works within the original scope executed prior to the cut-off date;
(e) Force Majeure events;
(f) Works within original scope executed after the cut-off date and admitted by the Commission, to the extent of actual payments made; and

(2) In case of replacement of assets deployed under the original scope of the existing project after the cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check on the following grounds:

(a) Assets whose useful life is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these regulations;
(b) The replacement of the asset or equipment is necessary on account of change in law or Force Majeure conditions;
(c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and
(d) The replacement of such asset or equipment has otherwise been allowed by the Commission.
(e) The additional expenditure, excluding recurring expenses covered in O&M expenses, involved in relation to the renewal of lease of lease hold land on case to case basis.

Provided that any claim of additional capitalization with respect to the replacement of assets under the original scope and on account of obsolescence of technology, less than Rs. 20 lakhs shall not be considered as part of Capital cost and shall be met through normative O&M expenses."

94. The details of the ACE claimed by the Petitioner in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Asset	Regulation	ACE Claimed	
		2024-25	2025-26
Asset-1	Regulation 25(1)(d) of the 2024 Tariff Regulations	137.70	0.00
Asset-2		468.30	1230.12
Combined Assets	**Total**	**606.00**	**1230.12**

95. The Petitioner has submitted that the ACE projected for the 2024–29 tariff period pertains to the undischarged liabilities towards the final or withheld payments under the substation package arising from the contractual exigencies and relating to works executed prior to the cut-off date. The additional capitalization claimed beyond the cut-off date relates to the liability/retention payments for works within the original scope and executed before the cut-off date and is covered under Regulation 25(1)(d) of the 2024 Tariff Regulations.

96. The details of the Liability Flow Statement submitted by the Petitioner are as follows:

Asset-1

(₹ in lakh)

Party Name	Particulars	Outstanding liability as on 31.3.2024	Discharge					Outstanding as on 31.3.2029
			2024-25	2025-26	2026-27	2027-28	2028-29	
M/s Techno Electric & M/s. Montnets- offshore	Substation	137.70	137.70	-	-	-	-	-
M/s Sai Construction & Co	Building and Civil Works	0.00	-	-	-	-	-	-
Total		**137.70**	**137.70**	**-**	**-**	**-**	**-**	**-**

Asset-2

(₹ in lakh)

Party Name	Particulars	Outstanding liability as on 31.3.2024	Discharge			Outstanding as on 31.3.2029
			2024-25	2025-26	2026-29	
M/s Rongxin Power Electronics Co Ltd and M/s. Techno Electric & Engg Co. Ltd.	Substation	1225.70	48.20	1177.50	NIL	NIL
	I.T Equipment	52.62	-	52.62		
	Battery	5.40	5.40	-		
Total		**1283.72**	**53.60**	**1230.12**	-	**-**

97. We have considered the Petitioner's submissions. It is observed that the Petitioner has projected the ACE for the un-discharged liabilities towards the final/retention payments against the works executed prior to the cut-off date. Therefore, as per Regulations 25(1)(d) of the 2024 Tariff Regulations, the ACE in respect of the Combined Assets is allowed, subject to truing up, for the 2024-29 tariff period as follows:

(₹ in Lakh)

Asset	Regulation	ACE Claimed	
		2024-25	2025-26
Asset-1	Regulation 25(1)(d) of the 2024 Tariff Regulations	137.70	0.00
Asset-2		53.60	1230.12
Combined Assets	**Total**	**191.30**	**1230.12**

Treatment of Liquidated Damages

98. The Petitioner has submitted that the Commission, vide order dated 22.11.2023 in Petition No. 274/TT/2022, condoned the time overrun of 141 days out of 675 days, thereby disallowing the IDC of ₹1610.11 lakh and IEDC of ₹414.70 lakh due to time over-run for Asset-2. It is further submitted that the LD was recovered from the

contractors, amounting to ₹856.43 lakh, and was reduced from the capital cost in the year 2024-25 upon recovery. It is also submitted that the revised Auditor's Certificate has been prepared on a cash basis, and the recovered LD amount has not been included in the capital cost. It is submitted that the LD amounting to ₹414.70 lakh out of the recovered LD of ₹856.43 lakh for Asset-2 has been added back to the cost in the financial year 2024-25 to the extent of the IEDC disallowed due to the time over-run.

99. We have considered the Petitioner's submissions. The Regulations 21(4) and 21(5) of the 2024 Tariff Regulations provide as follows:

> ***"21. Interest During Construction (IDC) and Incidental Expenditure during Construction (IEDC)***
> *Xxxx*
> *Xxxxx*
>
> *(4) If the delay in achieving the COD is not attributable to the generating company or the transmission licensee, such additional IDC and IEDC may be allowed after a prudence check, and the liquidated damages, if any, recovered from the contractor or supplier or agency shall be adjusted to the capital cost of the generating station or the transmission system, as the case may be.*
>
> *(5) If the delay in achieving the COD is attributable either in entirety on in part to the generating company or the transmission licensee or its contractor or supplier or agency, in such cases, IDC and IEDC due to such delay may be disallowed after a prudence check, either in entirety or on a pro-rata basis corresponding to the period of delay not condoned vis-à-vis total implementation period, and the liquidated damages, if any, recovered from the contractor or supplier or agency shall be retained by the generating company or the transmission licensee, in the same proportion of delay not condoned vis-à-vis total implementation period.*
> *Xxxxxx"*

100. The Commission, vide order dated 22.11.2023 in Petition No. 274/TT/2022, disallowed the IDC of ₹1610.11 lakh and IEDC of ₹414.70 lakh due to the non-condonation of time overrun for Asset-2. Therefore, the IDC and IEDC disallowed, for the period of time over-run not condoned, is deducted from the capital cost. The amount of ₹856.43 lakh towards LD recovered to the extent of the IDC and IEDC disallowed has already been adjusted by the Petitioner from the ACE (as certified by the Auditor) for the FY 2024-25. Out of the total amount of ₹856.43 lakh , the amount

of ₹414.70 lakh towards LD recovered to the extent of IEDC disallowed. The Petitioner is directed to submit the reasons for not deducting LD towards IDC at the time of truing-up.

101. Accordingly, the details of the ACE allowed in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in Lakh)

Asset	Regulation	ACE Claimed	
		2024-25	2025-26
Asset-1	Regulation 25(1)(d) of the 2024 Tariff Regulations	137.70	0.00
Asset-2		53.60	1230.12
Add Back of LD up to the extent of IEDC disallowed		414.70	0.00
Combined Assets	**Total**	**606.00**	**1230.12**

102. Therefore, the details of the capital cost and the ACE allowed in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Asset	FR Approved Cost	Capital cost admitted as on 1.4.2024	ACE allowed		Capital cost allowed as on 31.3.2029
			2024-25	2025-26	
Combined Assets	43188.79	35862.10	606.00	1230.12	37698.22

Debt Equity Ratio

103. Regulation 18 of the 2024 Tariff Regulations provides as follows:

> "**18. Debt-Equity Ratio**: (1) For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:
>
> *Provided that:*
>
> *i. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:*
> *ii. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:*
> *iii. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt: equity ratio.*

Explanation- The premium, if any, raised by the generating company or the transmission licensee, as the case may be, while issuing share capital and investment of internal resources created out of its free reserve for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilized for meeting the capital expenditure of the generating station or the transmission system.

(2) The generating company or the transmission licensee, as the case may be, shall submit the resolution of the Board of the company or the approval of the competent authority in other cases regarding the infusion of funds from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station or the transmission system including communication system, as the case may be.

(3) In the case of the generating station and the transmission system, including the communication system declared under commercial operation prior to 1.4.2024, the debt-equity ratio allowed by the Commission for the determination of tariff for the period ending 31.3.2024 shall be considered:

Provided that in the case of a generating station or a transmission system, including a communication system which has completed its useful life as on 1.4.2024 or is completing its useful life during the 2024-29 tariff period, if the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff computation;

Provided further that in case of projects owned by Damodar Valley Corporation, the debt: equity ratio shall be governed as per sub-clause (ii) of clause (2) of Regulation 96 of these regulations.

(4) In the case of the generating station and the transmission system, including communication system declared under commercial operation prior to 1.4.2024, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2024, the Commission shall approve the debt: equity ratio in accordance with clause (1) of this Regulation.

(5) Any expenditure incurred or projected to be incurred on or after 1.4.2024 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be serviced in the manner specified in clause (1) of this Regulation.

(6) Any expenditure incurred for the emission control system during the tariff period as may be admitted by the Commission as additional capital expenditure for determination of supplementary tariff, shall be serviced in the manner specified in clause (1) of this Regulation."

104. The debt-equity ratio for the 2024-29 tariff period is dealt with in accordance with Regulation 18 of the 2024 Tariff Regulations. Accordingly, the debt-equity ratio considered for the computation of tariff for the 2024-29 period in respect of the Combined Assets is as follows:

Funding	Capital Cost as on 1.4.2024		ACE in 2024-29		Capital Cost as on 31.3.2029	
	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)	(₹ in lakh)	(in %)
Debt	25103.47	70.00	1285.29	70.00	26388.75	70.00
Equity	10758.63	30.00	550.84	30.00	11309.47	30.00
Total	**35862.10**	**100.00**	**1836.12**	**100.00**	**37698.22**	**100.00**

Depreciation

105. Regulation 33 of the 2024 Tariff Regulations provides as follows:

*"**33. Depreciation**: (1) Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof or a transmission system or element thereof including communication system. In the case of the tariff of all the units of a generating station or all elements of a transmission system including the communication system for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station or the transmission system taking into consideration the depreciation of individual units:*

Provided that the effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station or capital cost of all elements of the transmission system, for which a single tariff needs to be determined.

(2) The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station or multiple elements of a transmission system, the weighted average life for the generating station or the transmission system shall be applied. Depreciation shall be chargeable from the first year of commercial operation. In the case of commercial operation of the asset for a part of the year, depreciation shall be charged on a pro rata basis.
(3) The salvage value of the asset shall be considered as 10%, and depreciation shall be allowed up to the maximum of 90% of the capital cost of the asset:

Provided that the salvage value for IT equipment and software shall be considered as NIL and 100% value of the assets shall be considered depreciable;

…….

Provided also that any depreciation disallowed on account of lower availability of the generating station or unit or transmission system, as the case may be, shall not be allowed to be recovered at a later stage during the useful life or the extended life.

(4) …….
(5) Depreciation for Existing Projects shall be calculated annually based on the Straight Line Method and at rates specified in Appendix-I to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the generating station or transmission system, as the case may be, shall be spread over the balance useful life of the assets;

……

(6) Depreciation for New Projects shall be calculated annually based on the Straight Line Method and at rates specified in Appendix-II to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 15 years from the effective date of commercial operation of the generating station or the transmission system, as the case may be, shall be spread over the balance useful life of the assets;

……..

(7) In the case of the existing projects, the balance depreciable value as on 1.4.2024 shall be worked out by deducting the cumulative depreciation as admitted to by the Commission up to 31.3.2024 from the gross depreciable value of the assets.

(8) The generating company or the transmission licensee, as the case may be, shall submit the details of capital expenditure proposed to be incurred during five years before the completion of useful life along with proper justification and proposed life extension. The Commission, based on prudence check of such submissions, shall approve the depreciation by equally spreading the depreciable value over the balance Operational Life of the generating station or unit thereof or fifteen years, whichever is lower, and in case of the transmission system shall equally spread the depreciable value over the balance useful life of the Asset or 10 years whichever is higher.

(9) In case of de-capitalization of assets in respect of generating station or unit thereof or transmission system or element thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalized asset during its useful service……..”

106. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2024 and, thereafter, up to 31.3.2029. The WAROD has been worked out for the Combined Assets as per the rates of depreciation specified in the 2024 Tariff Regulations.

107. The depreciation allowed for the Combined Assets under Regulation 33 of the 2024 Tariff Regulations for the 2024-29 tariff period is as under:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Opening Gross Block	35862.10	36468.10	37698.22	37698.22	37698.22
B	Addition during the year 2024-29 due to projected ACE	606.00	1230.12	0.00	0.00	0.00
C	Closing Gross Block (A+B)	36468.10	37698.22	37698.22	37698.22	37698.22
D	Average Gross Block (A+C)/2	36165.10	37083.16	37698.22	37698.22	37698.22

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
E	Average Gross Block (90% depreciable assets)	35467.88	36352.83	36941.58	36941.58	36941.58
F	Average Gross Block (100% depreciable assets)	697.21	730.33	756.64	756.64	756.64
G	Depreciable Value (excluding IT equipment and software) (E*90%)	31921.09	32717.54	33247.42	33247.42	33247.42
H	Depreciable Value of IT equipment and software (F*100%)	697.21	730.33	756.64	756.64	756.64
I	Total Depreciable Value (G+H)	32618.31	33447.88	34004.06	34004.06	34004.06
J	Weighted Average Rate of Depreciation (WAROD) (in %)	5.4706	5.4750	5.4786	5.3680	5.1775
K	Lapsed useful life at the beginning of the year (Year)	4	5	6	7	8
L	Balance useful life at the beginning of the year (Year)	21	20	19	18	17
M	**Depreciation during the year (D*J)**	**1978.46**	**2030.29**	**2065.32**	**2023.66**	**1951.83**
N	Cumulative Depreciation at the end of the year	9660.95	11691.24	13756.56	15780.22	17732.05
O	Remaining Aggregate Depreciable Value at the end of the year (I-N)	22957.36	21756.63	29247.50	18223.84	16272.01

Interest on Loan (IoL)

108. Regulation 32 of the 2024 Tariff Regulations provides as follows:

> *"**32. Interest on loan capital**: (1) The loans arrived at in the manner indicated in Regulation 18 of these regulations shall be considered gross normative loans for the calculation of interest on loans.*
>
> *(2) The normative loan outstanding as on 1.4.2024 shall be worked out by deducting the cumulative repayment as admitted by the Commission up to 31.3.2024 from the gross normative loan.*
>
> *(3) The repayment for each of the years of the tariff period 2024-29 shall be deemed to be equal to the depreciation allowed for the corresponding year or period. In case of de-capitalization of assets, the repayment shall be adjusted by taking into account cumulative repayment on a pro rata basis, and the adjustment should not exceed cumulative depreciation recovered up to the date of de-capitalisation of such asset.*
>
> *(4) Notwithstanding any moratorium period availed of by the generating company or the transmission licensee, as the case may be, the repayment of the loan shall be considered from the first year of commercial operation of the project and shall be equal to the depreciation allowed for the year or part of the year.*
>
> *(5) The rate of interest shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio or allocated loan portfolio:*
>
> *Provided that if there is no actual loan outstanding for a particular year but the*

normative loan is still outstanding, the last available weighted average rate of interest of the loan portfolio for the project shall be considered;

Provided further that if the generating station or the transmission system, as the case may be, does not have any actual loan, then the weighted average rate of interest of the loan portfolio of the generating company or the transmission licensee as a whole shall be considered;

Provided that the rate of interest on the loan for the installation of the emission control system commissioned subsequent to date of commercial operation of the generating station or unit thereof, shall be the weighted average rate of interest of the actual loan portfolio of the emission control system, and in the absence of the actual loan portfolio, the weighted average rate of interest of the generating company as a whole shall be considered, subject to a ceiling of 14%;

Provided further that if the generating company or the transmission licensee, as the case may be, does not have any actual loan, then the rate of interest for a loan shall be considered as 1-year MCLR of the State Bank of India as applicable as on April 01, of the relevant financial year.

(6) The interest on the loan shall be calculated on the normative average loan of the year by applying the weighted average rate of interest.

(7) The changes to the terms and conditions of the loans shall be reflected from the date of such re-financing."

109. The WAROI on loans has been considered on the basis of the rate prevailing as on 1.4.2024. The Petitioner has prayed that the change in interest rate due to the floating rate of interest applicable, if any, during the 2024-29 tariff period may be adjusted at the time of true-up. Accordingly, the floating rate of interest, if any, will be considered while truing up the tariff for the 2024-29 tariff period. The IoL has been allowed in accordance with Regulation 32 of the 2024 Tariff Regulations. The IoL allowed for the 2024-29 tariff period in respect of the Combined Assets is as follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Gross Normative Loan	25103.47	25527.67	26388.75	26388.75	26388.75
B	Cumulative Repayments up to Previous Year	7682.49	9660.95	11691.24	13756.56	15780.22
C	Net Loan-Opening (A-B)	17420.97	15866.72	14697.51	12632.19	10608.53
D	Addition due to ACE	424.20	861.08	0.00	0.00	0.00
E	Repayment during the year	1978.46	2030.29	2065.32	2023.66	1951.83

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
F	Net Loan-Closing (C+D-E)	15866.72	14697.51	12632.19	10608.53	8656.71
G	Average Loan (C+F)/2	16643.85	15282.12	13664.85	11620.36	9632.62
H	Weighted Average Rate of Interest on Loan (in %)	8.0715	8.0905	8.0993	8.0775	8.0445
I	**Interest on Loan allowed (G*H)**	**1343.41**	**1236.41**	**1106.76**	**938.63**	**774.90**

Return on Equity (RoE)

110. Regulations 30 and 31 of the 2024 Tariff Regulations provide as follows:

*"**30. Return on Equity**: (1) Return on equity shall be computed in rupee terms, on the equity base determined in accordance with Regulation 18 of these regulations.*

(2) Return on equity for existing project shall be computed at the base rate of 15.50% for thermal generating station, transmission system including communication system and run-of-river hydro generating station and at the base rate of 16.50% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-river generating station with pondage;

(3) Return on equity for new project achieving COD on or after 01.04.2024 shall be computed at the base rate of 15.00% for the transmission system, including the communication system, at the base rate of 15.50% for Thermal generating station and run-of-river hydro generating station and at the base rate of 17.00% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-river generating station with pondage;

Provided that return on equity in respect of additional capitalization beyond the original scope, including additional capitalization on account of the emission control system, Change in Law, and Force Majeure shall be computed at the base rate of one-year marginal cost of lending rate (MCLR) of the State Bank of India plus 350 basis points as on 1st April of the year, subject to a ceiling of 14%;

Provided further that:

i. In case of a new project, the rate of return on equity shall be reduced by 1.00% for such period as may be decided by the Commission if the generating station or transmission system is found to be declared under commercial operation without commissioning of any of the Free Governor Mode Operation (FGMO), data telemetry, communication system up to load dispatch centre or protection system based on the report submitted by the respective RLDC;

……"

***"31. Tax on Return on Equity.** (1) The rate of return on equity as allowed by the Commission under Regulation 30 of these regulations shall be grossed up with the effective tax rate of the respective financial year. The effective tax rate shall be calculated at the beginning of every financial year based on the estimated profit and tax to be paid estimated in line with the provisions of the relevant Finance Act applicable for that financial year to the concerned generating company or the*

transmission licensee by excluding the income of non-generation or non-transmission business, as the case may be, and the corresponding tax thereon:

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB of the Income Tax Act, 1961, the effective tax rate shall be the MAT rate, including surcharge and cess;

Provided further that in case a generating company or transmission licensee has opted for Section 115BAA, the effective tax rate shall be tax rate including surcharge and cess as specified under Section 115BAA of the Income Tax Act, 1961.

(2) The rate of return on equity shall be rounded off to three decimal places and shall be computed as per the formula given below:

Rate of pre-tax return on equity = Base rate / (1-t)

(3) The generating company or the transmission licensee, as the case may be, shall true up the effective tax rate for every financial year based on actual tax paid together with any additional tax demand, including interest thereon, duly adjusted for any refund of tax including interest received from the income tax authorities pertaining to the tariff period 2024-29 on actual gross income of any financial year. Further, any penalty arising on account of delay in deposit or short deposit of tax amount shall not be considered while computing the actual tax paid for the generating company or the transmission licensee, as the case may be:

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the applicable MAT rate including surcharge and cess;

Provided that in case a generating company or transmission licensee is paying tax under Section 115BAA, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the tax rate including surcharge and cess as specified under Section 115BAA;

Provided that any under-recovery or over recovery of grossed up rate on return on equity after truing up, shall be recovered or refunded to beneficiaries or the long-term customers, as the case may be, on a year-to-year basis."

111. The Petitioner has submitted that the MAT rate applies to it.

112. We have considered the Petitioner's submissions and have gone through the record. The Petitioner has claimed the RoE considering the base rate of 15.50% and the effective tax rate of 17.472%, for the 2024-29 tariff period and the same has been considered in this order, subject to true-up.

113. Accordingly, the RoE allowed in respect of the Combined Assets for the 2024-29 tariff period, in accordance with Regulation 31 of the 2024 Tariff Regulations, is as

follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Opening Equity	10758.63	10940.43	11309.46	11309.46	11309.46
B	Addition due to ACE	181.80	369.04	0.00	0.00	0.00
C	Closing Equity (A+B)	10940.43	11309.46	11309.46	11309.46	11309.46
D	Average Equity (A+C)/2	10849.53	11124.95	11309.46	11309.46	11309.46
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Grossed up Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity allowed (D*G)**	**2037.76**	**2089.49**	**2124.14**	**2124.14**	**2124.14**

Operation and Maintenance Expenses (O&M Expenses)

114. The O&M Expenses claimed by the Petitioner in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
O&M Expenses	550.31	579.66	609.17	640.74	676.21

115. Regulation 36(3) of the 2024 Tariff Regulations provides as follows:

*"**36. Operation and Maintenance Expenses:***

……

(3) Transmission system: *(a) The following normative operation and maintenance expenses shall be admissible for the transmission system:*

Particulars	*2024-25*	*2025-26*	*2026-27*	*2027-28*	*2028-29*
Norms for sub-station Bays (Rs Lakh per bay)					
765 kV	*41.34*	*43.51*	*45.79*	*48.20*	*50.73*
400 kV	*29.53*	*31.08*	*32.71*	*34.43*	*36.23*
220 kV	*20.67*	*21.75*	*22.90*	*24.10*	*25.36*
132 kV and below	*15.78*	*16.61*	*17.48*	*18.40*	*19.35*
Norms for Transformers/Reactors (Rs Lakh per MVA or MVAR)					
O&M expenditure per MVA or per MVAr (Rs Lakh per MVA or per MVAr)	*0.262*	*0.276*	*0.290*	*0.305*	*0.322*
Norms for AC and HVDC lines (Rs Lakh per km)					
Single Circuit (Bundled Conductor with six or more sub-conductors)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Single Circuit (Bundled conductor with four or more sub-conductors)	*0.738*	*0.776*	*0.817*	*0.860*	*0.905*
Single Circuit (Twin & Triple Conductor)	*0.492*	*0.518*	*0.545*	*0.573*	*0.603*
Single Circuit (Single Conductor)	*0.246*	*0.259*	*0.272*	*0.287*	*0.302*
Double Circuit (Bundled conductor with four or more sub-conductors)	*1.291*	*1.359*	*1.430*	*1.506*	*1.585*

Double Circuit (Twin & Triple Conductor)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Double Circuit (Single Conductor)	*0.369*	*0.388*	*0.409*	*0.430*	*0.453*
Multi Circuit (Bundled Conductor with four or more sub-conductor)	*2.266*	*2.385*	*2.510*	*2.642*	*2.781*
Multi Circuit (Twin & Triple Conductor)	*1.509*	*1.588*	*1.671*	*1.759*	*1.851*
Norms for HVDC stations					
HVDC Back-to-Back stations (Rs Lakh per MW)	*2.07*	*2.18*	*2.30*	*2.42*	*2.55*
Gazuwaka BTB (Rs Lakh/MW)	*1.83*	*1.92*	*2.03*	*2.13*	*2.24*
HVDC bipole scheme (Rs Lakh/MW)	*1.04*	*1.10*	*1.16*	*1.22*	*1.28*

Provided that the O&M expenses for the GIS bays shall be allowed as worked out by multiplying 0.70 of the O&M expenses of the normative O&M expenses for bays;

Provided that the O&M expense norms of Double Circuit quad AC line shall be applicable to for HVDC bi-pole line;

Provided that the O&M expenses of ±500 kV Mundra-Mohindergarh HVDC bipole scheme (2500 MW) shall be allowed as worked out by multiplying 0.80 of the normative O&M expenses for HVDC bipole scheme;

Provided further that the O&M expenses for Transmission Licensees whose transmission assets are located solely in NE Region (including Sikkim), States of Uttarakhand, Himachal Pradesh, the Union Territories of Jammu and Kashmir and Ladakh, district of Darjeeling of West Bengal shall be worked out by multiplying 1.50 to the normative O&M expenses prescribed above.

(b) The total allowable operation and maintenance expenses for the transmission system shall be calculated by multiplying the number of substation bays, transformer capacity of the transformer/reactor/Static Var Compensator/Static Synchronous Compensator (in MVA/MVAr) and km of line length with the applicable norms for the operation and maintenance expenses per bay, per MVA/MVAr and per km respectively."

116. We have considered the Petitioner's submissions. It is observed that the Petitioner has also included the 2x125 MVAr Mechanical Switched Capacitor (MSC) and the 2x125 MVAr Mechanical Switched Reactor (MSR) for Asset-1, and 1x125 MVAr Mechanical Switched Capacitor (MSC) and 2x125 MVAr Mechanical Switched Reactor (MSR) for Asset-2 under STATCOM MVAr rating and have claimed the O&M Expenses accordingly for the Combined Assets for the 2024-29 tariff period. Since these components are internal parts of the STATCOM, we are not inclined to consider their ratings for calculating the O&M Expenses of the STATCOMs at Nalagarh and Lucknow.

117. Therefore, as per Regulation 36 of the 2024 Tariff Regulations, the O&M Expenses in respect of the Combined Assets have been worked out as follows:

(₹ in Lakh)

O&M Expenses	2024-25	2025-26	2026-27	2027-28	2028-29
Substation: 400 kV bays **Nalagarh Substation** • 1 No. 400 kV Bay for ±200 MVAr STATCOM **Lucknow Substation** • 1 No. 400 kV Bay for ±300 MVAr STATCOM					
Norms as per the Regulation (₹ lakh per bay)	29.53	31.08	32.71	34.43	36.23
O&M Expenses Allowed	59.08	62.16	65.42	68.86	72.46
STATCOM **Nalagarh Substation** • 1 No. ±200 MVAr STATCOM **Lucknow Substation** • 1 No. ±300 MVAr STATCOM					
Norms as per the Regulation (₹ lakh per MVAr)	0.262	0.276	0.290	0.305	0.322
O&M Expenses Allowed	262.00	276.00	290.00	305.00	322.00
Total O&M Expenses allowed	**321.06**	**338.16**	**355.42**	**373.86**	**394.46**

118. Therefore, the details of the O&M Expenses claimed by the Petitioner and the O&M Expenses allowed in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in Lakh)

O&M Expenses	2024-25	2025-26	2026-27	2027-28	2028-29
O&M Expenses claimed by the Petitioner	550.31	579.66	609.17	640.74	676.21
O&M Expenses allowed in instant order	321.06	338.16	355.42	373.86	394.46

<u>Interest on Working Capital (IWC)</u>

119. Regulations 34(1)(d), 34(3) and 34(4) of the 2024 Tariff Regulations provide as follows:

> *"**34. Interest on Working Capital**: (1) The working capital shall cover:*
> *……*
>
> *(d) For Hydro generating station (including Pumped Storage Hydro generating station) and Transmission System:*
> *(i) Receivables equivalent to 45 days of annual fixed cost;*

(ii) Maintenance spares @ 15% of operation and maintenance expenses including security expenses; and
(iii) Operation and maintenance expenses, including security expenses for one month.

……

(3) Rate of interest on working capital shall be on a normative basis and shall be considered at the Reference Rate of Interest as on 1.4.2024 or as on 1st April of the year during the tariff period 2024- 29 in which the generating station or a unit thereof or the transmission system including communication system or element thereof, as the case may be, is declared under commercial operation, whichever is later:

Provided that in case of truing-up, the rate of interest on working capital shall be considered at Reference Rate of Interest as on 1st April of each of the financial year during the tariff period 2024-29.

(4) Interest on working capital shall be payable on a normative basis, notwithstanding that the generating company or the transmission licensee has not taken a loan for working capital from any outside agency."

120. The Petitioner has considered the rate of the IWC as 11.90% as on 1.4.2024. The IWC has been worked out in accordance with Regulation 34 of the 2024 Tariff Regulations. The RoI considered is 11.90% (SBI 1-year MCLR applicable as on 1.4.2024 of 8.65% plus 325 basis points) for the FY 2024-25 and 12.25% (SBI 1-year MCLR applicable as on 1.4.2025 of 9.00% plus 325 basis points) for the FYs 2025-26 to 2028-29.

121. The components of the working capital and the interest allowed thereon, under Regulation 34 of the 2024 Tariff Regulations, for the 2024-29 tariff period in respect of the Combined Assets are as under:

(₹ in lakh)

Sl. No	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Working Capital for O&M Expenses (O&M Expenses for one month)	26.76	28.18	29.62	31.16	32.87
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	48.16	50.72	53.31	56.08	59.17
C	Working Capital for Receivables (Equivalent to 45 days of Annual Fixed Cost/Annual Transmission Charges)	711.90	714.02	708.73	682.95	658.01
D	**Total Working Capital (A+B+C)**	786.82	792.92	791.67	770.18	750.05
E	Rate of Interest for Working Capital (in %)	11.90	12.25	12.25	12.25	12.25
F	**Interest on Working Capital (D*E)**	**93.63**	**97.13**	**96.98**	**94.35**	**91.88**

Annual Fixed Charges for the 2024-29 Tariff Period

122. The transmission charges allowed in respect of the Combined Assets for the 2024-29 tariff period are as follows, subject to truing up:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Depreciation	1978.46	2030.29	2065.32	2023.66	1951.83
Interest on Loan	1343.41	1236.41	1106.76	938.63	774.90
Return on Equity	2037.76	2089.49	2124.14	2124.14	2124.14
O&M Expenses	321.06	338.16	355.42	373.86	394.46
Interest on Working Capital	93.63	97.13	96.98	94.35	91.88
Total	**5774.31**	**5791.48**	**5748.62**	**5554.64**	**5337.21**

Filing Fee and Publication Expenses

123. The Petitioner has sought reimbursement of the fee paid by it for filing the Petition and publication expenses. In this regard, the Petitioner has submitted that it is entitled to reimbursement of the filing fee and the expenses incurred on publication of notices in the application for approval of tariff directly from the beneficiaries or the long-term customers, as the case may be, in accordance with Regulation 94(1) of the 2024 Tariff Regulations.

124. We have considered the Petitioner's submissions. The Petitioner is entitled to reimbursement of the fees paid for filing the Petition and publication expenses incurred on this count directly from the beneficiaries or the long-term customers, as the case may be, on a pro-rata basis, in accordance with Regulation 94(1) of the 2024 Tariff Regulations.

Fees and Charges of Central Transmission Utility of India Limited (CTUIL)

125. The Petitioner has submitted that, as per Regulation 99 of the 2024 Tariff Regulations, the fees and charges of the Central Transmission Utility of India Limited (CTUIL) may be allowed separately through a separate regulation. It is submitted that in the absence of such regulation, the expenses of CTUIL will be borne by the

Petitioner, which will be recovered by the Petitioner as additional O&M Expenses through a separate Petition at the end of the tariff period.

126. It is apt here to refer to Regulation 99 of the 2024 Tariff Regulations which provides as under:

> *"**99. Special Provisions relating to Central Transmission Utility of India Ltd. (CTUIL):** The fee and charges of CTUIL shall be allowed separately by the Commission through a separate regulation:*
>
> *Provided that until such regulation is issued by the Commission, the expenses of CTUIL shall be borne by Power Grid Corporation of India Ltd. (PGCIL) which shall be recovered by PGCIL as additional O&M expenses through a separate petition."*

127. We have considered the Petitioner's submissions and perused Regulation 99 of the 2024 Tariff Regulations. In view of the explicit provision made under Regulation 99 of the 2024 Tariff Regulations, we permit the Petitioner, i.e., PGCIL, to bear the fees and charges of CTUIL and recover the same as additional O&M Expenses through a separate Petition until such a regulation is notified and issued by the Commission.

License Fee and RLDC Fees and Charges

128. The Petitioner has claimed reimbursement of the license fee and the RLDC fees and charges. The Petitioner is allowed the reimbursement of the license fee in accordance with Regulation 94(4) of the 2024 Tariff Regulations for the 2024-29 tariff period. The Petitioner is also allowed to recover the RLDC fee and charges from the beneficiaries in terms of Regulation 94(3) of the 2024 Tariff Regulations for the 2024-29 tariff period.

Goods and Services Tax

129. The Petitioner has submitted that the transmission charges claimed herein are exclusive of the Goods and Services Tax (GST), and in case GST is levied on transmission of electricity in the future, the same shall be additionally paid by the Respondents, and the Petitioner shall be allowed to charge and bill it separately. It is prayed that in case,

any additional taxes are paid by the Petitioner on account of the demand from the Government/Statutory Authorities, the Commission may allow the same to be recovered from the beneficiaries.

130. We have considered the Petitioner's submissions. Since GST is not levied on the transmission service at present, we are of the view that the Petitioner's prayer on this count is pre-mature.

Security Expenses, Insurance and Capital Spares

131. The Petitioner has submitted that as per Regulation 36(3)(d) of the 2024 Tariff Regulations, the security expenses, insurance and capital spares of more than ₹10 lakh for the transmission system shall be allowed separately after a prudence check. It is submitted that these expenses are not claimed in the instant Petition.

132. The Petitioner has submitted that it shall file a separate Petition for the truing up of security expenses from 1.4.2019 to 31.3.2024 under Regulation 35(3)(c) of the 2019 Tariff Regulations and recovery of security expenses from 1.4.2024 to 31.3.2029 under Regulation 36(3)(d) of the 2024 Tariff Regulations.

133. It is submitted that the Petitioner shall file a separate Petition claiming the overall insurance expenses and the consequential IWC on the same, considering the actual insurance expenses incurred by it for the FY 2023-24 after escalating the same at 5.25% per annum to arrive at the estimated insurance expense for the FYs 2024-25, 2025-26, 2026-27, 2027-28, and 2028-29.

134. It is further submitted that the Petitioner has filed Petition No. 45/MP/2024, claiming therein the capital spares for the 2019-24 tariff period as per the 2019 Tariff Regulations. The Petitioner has also submitted that it shall file a separate Petition claiming the capital spares consumed and the consequential IWC thereon on an actual

basis for the 2024-29 tariff period as per the 2024 Tariff Regulations.

135. We have considered the Petitioner's submissions and have perused the record. We deem it proper here to refer to Regulation 36(3)(d) of the 2024 Tariff Regulations, which provides as follows:

> *"36(3)*
> *(d) The Security Expenses, Capital Spares individually costing more than Rs. 10 lakh and Insurance expenses arrived through competitive bidding for the transmission system and associated communication system shall be allowed separately after prudence check:*
>
> *Provided that in case of self-insurance, the premium shall not exceed 0.12% of the GFA of the assets insured;*
>
> *Provided that the transmission licensee shall submit the along with estimated security expenses based on assessment of the security requirement, capital spares and insurance expenses, which shall be trued up based on details of the year-wise actuals along with appropriate justification for incurring the same and along with confirmation that the same is not claimed as a part of additional capitalisation or consumption of stores and spares and renovation and modernization.*
>
> *Provided that the self-insurance premium shall be transferred to a separate fund for utilization to meet the claims, and the expenditure incurred or amount utilized from the self-insurance fund shall be made available to the Commission as and when directed."*

136. On perusal of Regulation 36(3)(d) of the 2024 Tariff Regulations and considering the Petitioner's submissions, the Petitioner is allowed to file a single consolidated Petition comprising security expenses and capital spares individually costing more than ₹10 lakh and insurance expenses, on an estimated basis, in terms of the 2024 Tariff Regulations for the 2024-29 tariff period.

Sharing of Transmission Charges

137. The Petitioner has submitted that the transmission charges for the 2019-24 tariff period will be recovered on a monthly basis in accordance with Regulation 57 of the 2019 Tariff Regulations as per the provisions of the Central Electricity Regulatory Commission (Sharing of Inter-State Transmission Charges and Losses) Regulations, 2010 (hereinafter referred to as "the 2010 Sharing Regulations") and the Central Electricity Regulatory Commission (Sharing of Inter-State Transmission Charges and

Losses) Regulations, 2020, (hereinafter referred to as "the 2020 Sharing Regulations") as amended from time to time for the applicable periods. It is submitted that the tariff for the 2024-29 tariff period shall be recovered on a monthly basis in accordance with Regulation 78 of the 2024 Tariff Regulations and shall be shared by the beneficiaries and long-term transmission customers as per the provisions of the 2020 Sharing Regulations as amended from time to time.

138. We have considered the Petitioner's submissions. With effect from 1.7.2011, the sharing of transmission charges for the inter-state transmission systems was governed by the 2010 Sharing Regulations and with effect from 1.11.2020 (after repeal of the 2010 Sharing Regulations), the sharing of transmission charges is governed by the 2020 Sharing Regulations. Accordingly, the billing, collection, and disbursement of the transmission charges for the Combined Assets shall be recovered in terms of the provisions of the 2020 Sharing Regulations as provided in Regulation 57 of the 2019 Tariff Regulations for the 2019-24 tariff period and Regulation 78 of the 2024 Tariff Regulations for the 2024-29 tariff period.

139. To summarize:

a) The trued-up AFC allowed in respect of the transmission assets for the 2019-24 tariff period are as follows:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
AFC Claimed	2628.81	2687.94	2694.07	2746.18	2765.13
AFC Allowed	2598.24	2653.20	2658.67	2709.79	2727.43

Asset-2

(₹ in lakh)

Particulars	2020-21 (pro-rata for 97 days)	2021-22	2022-23	2023-24
AFC Claimed	956.61	3619.02	3677.62	3706.84
AFC Allowed	872.52	3291.52	3338.96	3360.26

b) The AFC allowed in respect of the Combined Assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
AFC Allowed	5774.31	5791.48	5748.62	5554.64	5337.21

140. This order disposes of Petition No. 477/TT/2025, in terms of the above discussions and findings.

sd/-
(Harish Dudani)
Member

sd/-
(Ramesh Babu V.)
Member

CERC Website S. No. 179/2026